

Accton

Riding AI-driven networking upgrade and unlocking new TAM in server racks; initiate at OW

We initiate coverage of Accton at OW with a Jun-27 price target of NT\$3,600, based on ~26x 12M forward EPS (around the high end of the historical valuation range, supported by stronger earnings growth outlook amid an accelerating networking upgrade cycle). Accton stock trades around the high end of its historical valuation range, reflecting its strong earnings outlook, high ROE, and expanding TAM. We expect Accton to deliver a ~50% earnings CAGR over 2025–28, driven by rapid 800G/1.6T switch upgrades, share gains in Meta's ToR, and a resumption of AWS ASIC momentum. TAM expansion into server racks and optical adjacency offers further upside optionality. Our 2026/27 EPS estimates are 12%/6% above consensus estimates. Key downside risks include potential share loss in AWS AI ASIC modules, slower-than-expected 800G/1.6T adoption, and intensifying competition from Nvidia and OEMs in Ethernet switches.

- **AI network upgrades drive step-change in growth.** Accton stands at the center of the hyperscaler migration to 800G/1.6T switches, with AI inference workloads accelerating the upgrade cycle. We estimate a ~US\$6bn datacenter networking serviceable addressable market (SAM) for the top 4 CSPs for Accton in 2025 and expect the market to grow at a ~75% CAGR to reach ~\$33bn by 2028. We expect Accton's networking revenue to outgrow the market, supported by a sharp rebound in Meta share (Minipack 3N ramp) and a rise in whitebox server penetration at cloud customers. Consequently, we forecast a ~90% datacenter networking revenue CAGR through 2028 for Accton, as it cements its leadership in open networking and captures incremental content per rack.
- **Amazon ASIC engine reignites, TAM also broadening.** After a transition period in 1H26, Accton's AWS business is set to rebound in 2H26, with AWS revenue mix climbing from new server switch tray wins and resumed unit growth offsetting market share loss in UBB module, in our view. We also see a potential ASIC demand uptick in the next few years driven by the recently announced Anthropic and OpenAI multi-year agreements for AWS ASIC procurement. Overall, we see AWS-related TAM expanding beyond modules into networking and server integration, providing a robust growth engine even as competition intensifies.
- **Server rack expansion unlocks scenario upside.** Accton is leveraging its switch design expertise to enter the server rack market, targeting both generic and AI-optimized server opportunities. Our scenario analysis suggests that every 1% market share gain in U.S. CSP general servers could drive ~9% of incremental revenue (2025 base), with further upside from optical transceivers, liquid cooling, and scale-up/scale-across switch adjacencies. Management expects initial server revenue contribution in 2H26, and we believe this vertical integration strategy positions Accton to capture a larger share of the datacenter value chain as cloud architectures evolve.

Initiation

Overweight

2345.TW, 2345.TT

Price (24 Jun 26):NT\$2,375.00

Price Target (Jun-27):NT\$3,600.00

Technology - Hardware

Albert Hung ^{AC}

(886-2) 2725-9875

albert.hung@jpmchase.com

J.P. Morgan Securities (Taiwan) Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Anthony Leng

(886-2) 2725-9240

anthony.leng@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Gokul Hariharan

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)

	2025A	2026E	2027E
Q1	9.14	14.87A	25.87
Q2	8.97	17.78	27.35
Q3	13.95	22.51	30.47
Q4	14.89	27.47	29.82
FY	47.01	82.64	113.51

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	68	56	65	70	85
Growth	26	9	33	21	34
Momentum	21	7	6	16	61
Quality	5	12	17	3	14
Low Vol	79	76	73	79	62
ESGQ	96	10	12	85	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 50 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	100.4%	-3.8%	54.7%	228.5%
Rel	41.4%	-12.8%	13.5%	121.0%

Company Data

Shares O/S (mn)	561
52-week range (NT\$)	2,720.00-721.00
Market cap (\$ mn)	42,125
Exchange rate	31.64
Free float (%)	83.9%
3M ADV (mn)	4.56
3M ADV (\$ mn)	319.9
Volatility (90 Day)	75
Index	TAIEX
BBG ANR (Buy Hold Sell)	15 1 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	248,320	371,369	540,648	739,235
Adj. EBIT	32,135	56,686	77,674	109,672
Adj. EBITDA	33,686	59,093	80,957	114,071
Adj. net income	26,377	46,371	63,694	90,175
Adj. EPS	47.01	82.64	113.51	160.71
BBG EPS	45.00	74.78	104.39	152.71
Cashflow from operations	38,675	52,840	62,715	84,504
FCFF	33,341	47,691	55,515	76,504
Margins and Growth				
Revenue Growth Y/Y (%)	124.9%	49.6%	45.6%	36.7%
EBIT margin	12.9%	15.3%	14.4%	14.8%
EBIT Growth Y/Y (%)	136.3%	76.4%	37.0%	41.2%
EBITDA margin	13.6%	15.9%	15.0%	15.4%
EBITDA Growth Y/Y (%)	129.6%	75.4%	37.0%	40.9%
Net margin	10.6%	12.5%	11.8%	12.2%
Adj. EPS growth	119.6%	75.8%	37.4%	41.6%
Ratios				
Adj. tax rate	20.1%	20.4%	20.6%	20.4%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	56.2%	65.8%	61.2%	58.3%
Valuation				
FCFF yield	2.5%	3.6%	4.2%	5.7%
Dividend yield	0.5%	0.6%	1.1%	1.5%
EV/Revenue	5.2	3.4	2.3	1.6
EV/EBITDA	38.1	21.2	15.1	10.3
Adj. P/E	50.5	28.7	20.9	14.8

Summary Investment Thesis and Valuation

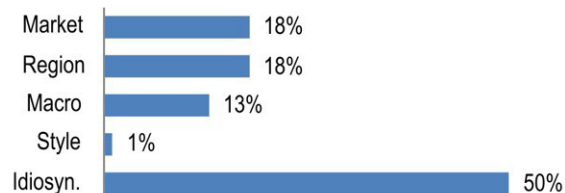
Investment Thesis

Accton stock trades around the high end of its historical valuation range, reflecting its strong earnings outlook, high ROE, and expanding TAM. We expect an accelerating earnings CAGR over 2025–28 for Accton, driven by rapid 800G/1.6T switch upgrades, share gains in Meta's ToR, and a resumption of AWS ASIC momentum. TAM expansion into server racks and optical adjacency offers further upside optionality. OW.

Valuation

Our Jun-27 PT of NT\$3,600 is based on 12M fwd EPS, at the higher end of historical up-cycle valuations, given the accelerating datacenter whitebox switch upgrade cycle, secular AI demand, and potential re-rating opportunity from the optical biz.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.44	0.46
Region: Taiwan	0.45	0.52
Macro:		
JPM Global Equity Sentiment	0.39	0.30
Citi Economic Surprise - EM	0.33	0.29
Emerging Economies CPI(YoY)	-0.17	-0.17
Quant Styles:		
Growth	0.37	0.21
Value	-0.43	-0.19
DivYld	-0.33	-0.19

Table Of Contents

Initiate at OW with Jun-27 PT of NT\$3,600	4
JPMe above Consensus estimates on accelerating datacenter switch upgrade cycle and positive view on AWS Trn 3 momentum	4
Overview of Historical Stock Price and Stock Catalysts	5
Shortened networking upgrade cadence and expanding TAM to sustain a premium P/E	6
I. Network switches - the next key driver for Accton	9
Accelerating hyperscaler server spending driving datacenter switch demand	9
AI-driven general-purpose server spending drives demand for generic networking fabric investments	11
AI/ML drives both frontend and backend networking upgrades	12
Accelerating network upgrade cycles driven by AI compute	18
Consolidated whitebox datacenter Ethernet switch market indicating large growth potential for Accton's switch business	20
Market share rebound in Meta 800G projects	21
Potential content upside from CPO switch adoption at the ToR layer	24
II. Sustained growth momentum of AWS ASIC biz	24
Resumed AWS ASIC momentum in 2Q26; demand signals turning more constructive	25
Potential m/s shift in Trn3; scale-up switch tray wins could largely offset the downside	27
Lower board content per chip, partially offset by PCB material upgrades and potential new content gains	28
III. Growing TAM opportunity through vertical integration	28
Marching toward the server space	28
Gauging the potential server revenue upside	29
Promising opportunities in TAM expansion	30
Key downside risks	32
Potential m/s shift in Ethernet switch: competition with Nvidia	32
Faster-than-expected m/s shift in AWS ASIC module biz	33
Company Background	34
Company History	34
Business Overview	34
Competitive analysis	35
Diversified Production Sites	37
Shareholder Structure & QFII holdings	38
Management Profile	39
Financial Analysis	40
P/E and P/B band	43
Glossary	44

Initiate at OW with Jun-27 PT of NT\$3,600

We initiate coverage of Accton with an OW rating and **Jun-27 PT of NT\$3,600** (around ~26x 12M fwd EPS, at the higher end of mid-cycle valuations). We are positive on Accton due to 1) resumed AWS ASIC momentum in 2H26; 2) 800G/1.6T datacenter switch upgrades with a multi-year AI-driven accelerating upgrade trend; 3) new 800G switch project ramp; and 4) AI networking TAM expansion on rising Ethernet adoption in the AI scale-up fabric. Consequently, we forecast 44%/51% revenue/earnings CAGRs over 2025-28.

Key downside risks include: 1) faster-than-expected market share loss in AWS AI ASIC module; 2) slower-than-expected 800G/1.6T networking upgrade trend; 3) weaker-than-expected AWS ASIC demand; and 4) larger-than-expected margin dilution during vertical integration.

JPMe above consensus estimates on accelerating datacenter switch upgrade cycle and positive view on AWS Trn 3 momentum

We believe consensus is underestimating both (1) **AI ASIC demand** and (2) the **800G/1.6T data center switch refresh cycle**. Our industry research suggests AWS's AI ASIC momentum is likely to remain strong into next year. In data center switching, we expect the 800G upgrade cycle to accelerate across leading hyperscalers beginning in 2H25, with an initial ramp of 1.6T in 2H26, supported by Nvidia's 800G/1.6T networking adoption roadmap.

We expect the super general server upcycle and secular AI server demand to drive the traditional datacenter Ethernet ODM switch demand in the next few years. In addition to the traditional Ethernet fabric, AI compute fabric will create an incremental switch TAM for Accton as CSPs rapidly increase Ethernet adoption.

AI compute fabric will accelerate the 800G/1.6T upgrade cycle, which could even become a bigger market vs. the traditional one, on our estimates. Our research also indicates Accton has secured a new 800G program at a key U.S. hyperscaler, which implies that Accton will even outgrow the fast-growing market. There could be potential upside for Accton's networking biz from increased penetration in scale-up switching at a key ASIC customer.

Overall, the combination of strong top-line momentum and operating leverage drives our 2026/27 earnings estimates to be **~12%/6% above consensus estimates**.

Table 1: Accton: annual JPMe vs. BBG Consensus estimates

NT\$ million	JPMe			Consensus			Difference (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	371,369	540,648	739,235	360,933	498,642	660,541	3%	8%	12%
Gross profit	73,374	98,319	134,105	68,812	96,597	129,030	7%	2%	4%
GM (%)	19.8%	18.2%	18.1%	19.1%	19.4%	19.5%	69bps	-119bps	-139bps
Operating profit	56,686	77,674	109,672	52,508	75,615	106,577	8%	3%	3%
OPM (%)	15.3%	14.4%	14.8%	14.5%	15.2%	16.1%	72bps	-80bps	-130bps
Pretax profit	58,239	80,179	113,321	53,429	76,650	107,759	9%	5%	5%
Net profit	46,363	63,694	90,175	41,354	59,881	89,708	12%	6%	1%
EPS (NT\$)	82.6	113.5	160.7	73.70	106.72	159.87	12%	6%	1%

Source: Bloomberg Finance L.P. estimates. J.P. Morgan estimates.

Overview of historical stock price and stock catalysts

Revenue momentum has been the key driver of Accton's share price. Since listing in 1995, Accton's revenue has increased by more than 50x, while GM has generally remained within the 10–20% range. Over the same period, the stock has appreciated by more than 90x.

Accton traded in a prolonged range during 2003–2014, reflecting cyclical networking demand. In 2H15, revenue momentum began to accelerate as the company became a JDM (Joint Development Manufacturer) partner to key CSP (Cloud Service Provider) customers, enabling it to break into the data center white-box switch market.

Revenue growth re-accelerated to a 22% CAGR in 2015–2019 (vs. 2% in 2002–2015), and GM recovered from a trough of 15% in 2014 to ~20% in 2019. We attribute this inflection to the structural adoption of data center white-box switches. Notably, Accton's stock rose 17.5x over this period (vs. +52% for TAIEX).

Momentum paused in 2020–1H23 due to the networking chip shortage and a mix shift in Meta's 400G switch program, but re-accelerated in 2H23 on strong Amazon AI ASIC demand and rising expectations for AI-driven networking upgrades over the medium to longer term.

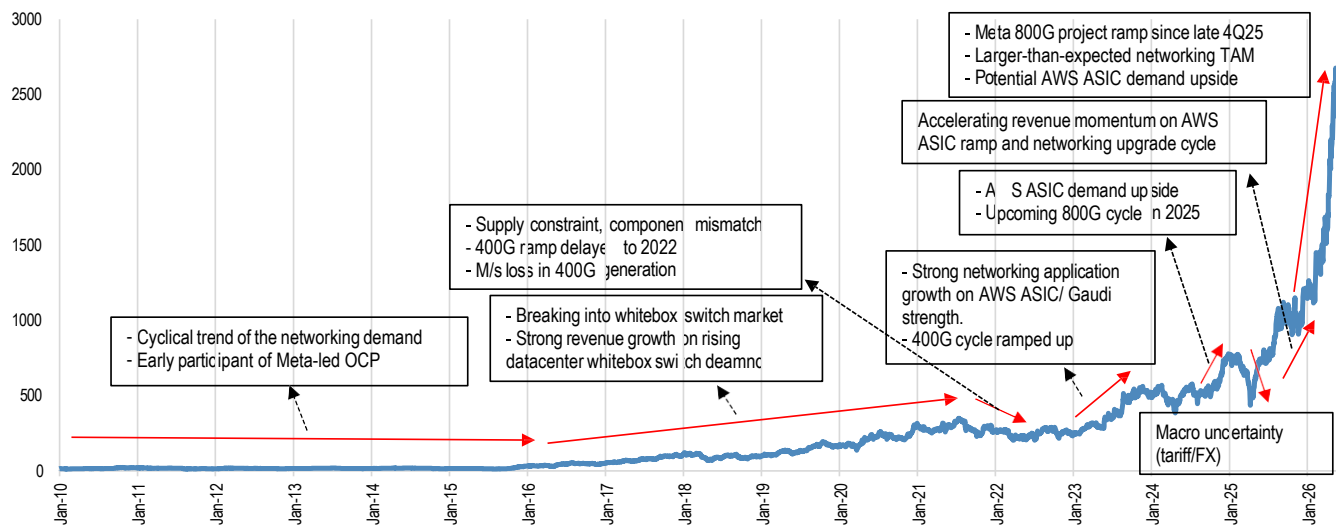
The stock corrected in 9M24 amid a networking destocking cycle and Gaudi demand downside, but reached a new high in 4Q24 on stronger-than-expected Amazon ASIC demand and an improving networking upgrade outlook.

In April 2025, shares sold off on rising macro uncertainty tied to Trump's trade policy, before a V-shaped rebound to new highs supported by tariff exemptions and robust AWS AI ASIC and networking demand.

Shares traded range-bound in 2H25 on concerns around the AWS transition, but have continued to break records since late 2025 driven by better-than-expected revenue momentum, aided by a smoother-than-expected AWS ASIC transition, potential AWS ASIC demand upside, and a new 800G customer ramp.

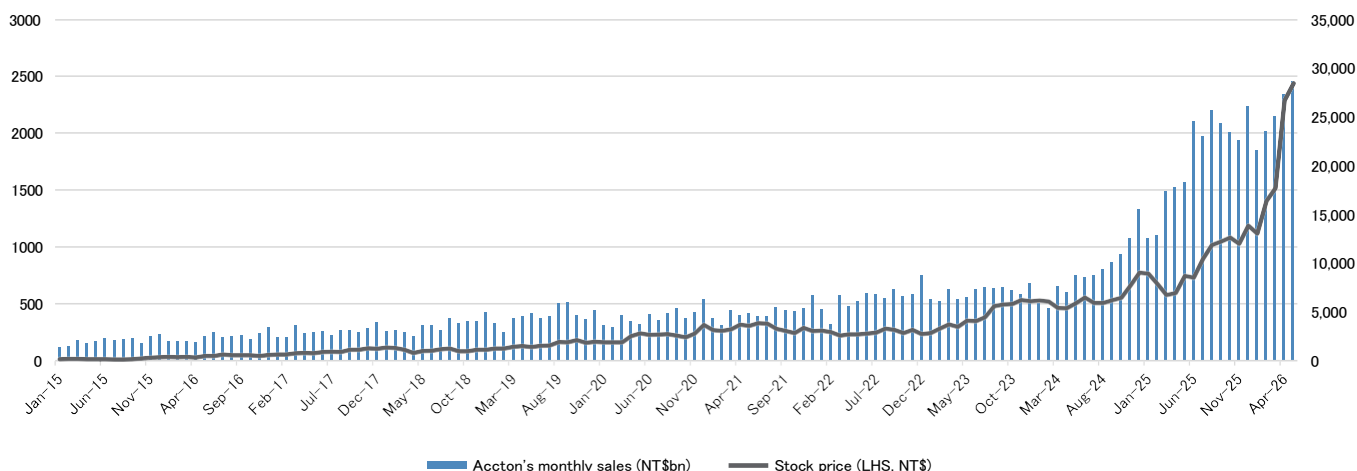
Looking ahead, we expect more sustained stock momentum into next year on resilient AWS AI ASIC demand and 800G/1.6T switch upgrade cycles.

Figure 1: Accton stock - historical share price analysis



Source: Bloomberg Finance L.P. data as of 24 June 2026, J.P. Morgan.

Figure 2: Accton stock correlation vs. monthly sales



Source: TEJ, Bloomberg Finance L.P. data as of 31 May 2026.

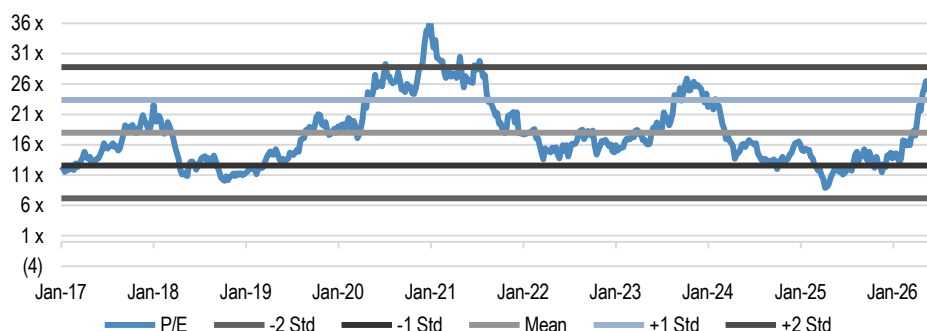
Shortened networking upgrade cadence and expanding TAM to sustain a premium P/E

Accton's valuation has re-rated meaningfully (from 5–10x in 2015 to 20–30x today), as it gained exposure to the data center white-box switch market. The multiple peaked in 1H21 at over +2x standard deviation (or higher) on anticipation of the 400G cycle ramp, before de-rating as the company lost share to a key U.S. competitor in the 400G generation.

Looking forward, we expect earnings momentum to further accelerate with potential earnings upside in the coming months. We forecast a ~50% earnings CAGR in 2025-28

vs. ~40% CAGR in 2020-25), driven by secular AI/traditional datacenter switch demand and resilient AI ASIC demand, which could support sentiment and multiple expansion. Therefore, we believe Accton stock's PE could re-rate towards the upper end of the 25-30x range (above +1x standard deviation).

Figure 3: Accton 12M Fwd EPS



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Price data as of 24 June 2026.

We expect Accton to outgrow its major peers (JPMe 50%+ earnings CAGR in 2025-27 vs. industry median of 25-30%), driven by an accelerating datacenter whitebox switch upgrade cycle, market share gains in a key U.S. CSP 800G project, and secular ASIC demand. Therefore, we expect Accton stock to continue trading at a premium multiple versus peers averaging at ~25-30x.

In addition, the stocks of Accton's key industry peers, Celestica and Arista, have traded at a 20-30% premium despite slower earnings momentum. There could be a potential re-rating opportunity for Accton to the 25-30x range, supported by stronger earnings power and its differentiated vertical integration—from networking cards, data center switch systems, and optical components, to AI chip modules and potentially server systems.

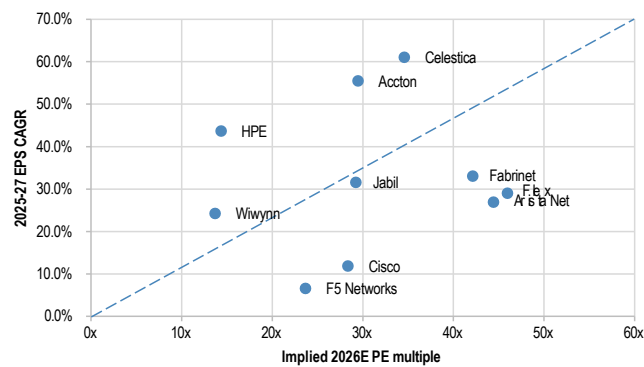
Accton also screens with the highest ROE among peers, reflecting efficient capital deployment and rapid earnings growth. Overall, our Jun-27 PT of NT\$3,600 is based on ~26x 12M fwd EPS and implies a valuation above mid-cycle.

Table 2: Valuation comps - Accton

Company	Ticker	Cover Analyst	Rating	Price (LC)	Mkt cap (\$ mn)	P/E (x)		P/BV (x)		ROE (%)		EPS CAGR 2025-2027
						FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
Accton	2345 TT		OW	2,435.0	43,189	29.5	21.5	16.4	10.9	56.1%	65.8%	55.5%
Networking Peers												
Arista Net	ANET US	Joseph Cardoso	OW	162.2	204,243	44.4	34.2	12.4	9.2	33.6%	32.4%	26.9%
Celestica	CLS US	Joseph Cardoso	OW	351.2	40,405	34.6	22.4	13.4	8.3	34.2%	44.8%	61.0%
Cisco	CSCO US	Joseph Cardoso	OW	121.2	477,505	28.4	25.5	9.5	8.3	32.9%	34.9%	11.8%
HPE	HPE US	Joseph Cardoso	OW	48.9	64,780	14.4	12.2	2.6	2.4	11.1%	18.7%	43.7%
F5 Networks	FFIV US	Joseph Cardoso	OW	389.5	21,977	23.7	21.7	5.6	4.8	27.6%	25.0%	6.6%
Industry median						28.4	22.4	9.5	8.3	32.9%	32.4%	26.9%
ASIC System/Module ODM Peers												
Wiwynn	6669 TT	Albert Hung	OW	4,675.0	27,463	13.7	11.0	4.2	3.5	48.0%	37.0%	24.2%
Fabrinet	FN US	Joseph Cardoso	N	583.6	20,908	42.1	32.4	8.7	7.2	19.8%	22.9%	33.1%
Jabil	JBL US	Joseph Cardoso	OW	373.0	39,351	29.3	22.1	25.0	16.7	66.6%	87.7%	31.6%
Flex	Flex US	Joseph Cardoso	OW	151.9	55,634	46.0	34.5	11.2	9.4	25.3%	32.2%	29.0%
Industry median						35.7	27.2	9.9	8.3	36.6%	34.6%	30.3%

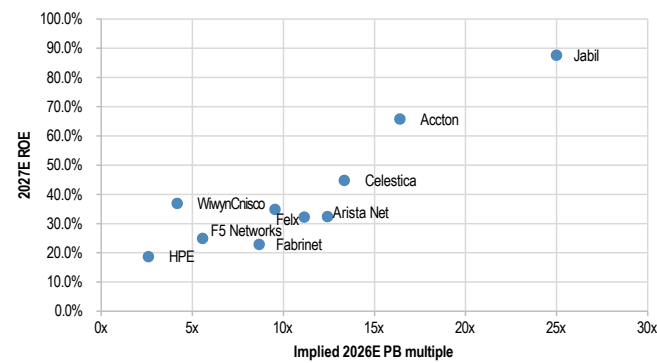
Source: Bloomberg Finance L.P. estimates, J.P. Morgan estimates. Price data as of 23 June 2026.

Figure 4: EPS CAGR vs. implied 2026E P/E



Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates. Price data as of 23 June 2026.

Figure 5: 2027E ROE vs. implied 2026E P/B



Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates. Price data as of 23 June 2026.

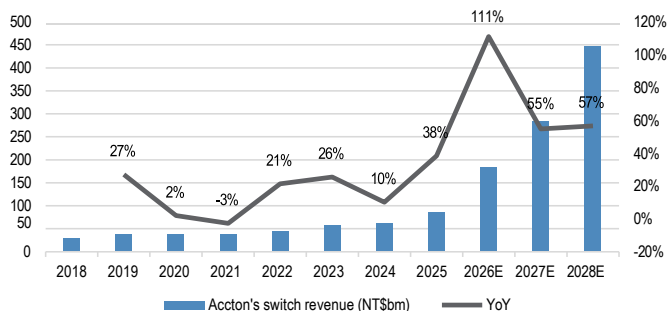
I. Network switches - the next key driver for Accton

We see network switches as the next key growth driver for Accton. Switch revenue growth has accelerated over the past 4–6 quarters, led by the ramp in high-end platforms (400G/800G). Demand for high-end data center switches is being pulled forward by AI—both the build-out of AI networking fabrics and the incremental expansion of existing Ethernet networks as AI-inference-driven traditional/ASIC server deployments scale (we estimate data center switching demand at ~15–20% CAGR in 2020–2024).

Our industry research also suggests Accton has been gaining m/s in Meta’s 800G program since late 2025. Management indicated that 800G revenue has reached low-teens % of total revenue in 1Q26 (up from high single digits in 4Q25), driven by a new 800G customer ramp, and we expect momentum to build further over the next few quarters. We believe a multi-year server upcycle and an accelerating switch upgrade cycle should sustain strong growth in Accton’s switch business. Overall, we forecast Accton to outgrow the white-box switch market, with a 2025–28 switch revenue CAGR of ~90% versus an industry TAM CAGR of ~75%, driven by continued market share gains.

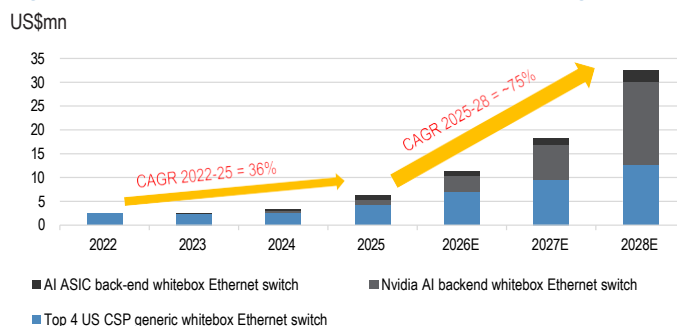
Of note, our TAM does not include scale-up fabrics, AMD’s GPU related switch TAM, and AI ASIC switch TAM other than AWS. There could also be upside to our TAM estimates from enriching Nvidia’s product offering (i.e. Nvidia’s “extreme co-design” Rubin platform). LPX/CMX/Vera CPU standalone racks will likely create additional ToR switch demand.

Figure 6: Accton’s switch revenue and YoY growth



Source: J.P. Morgan estimates, Company data.

Figure 7: Accton’s datacenter switch revenue SAM and YoY growth



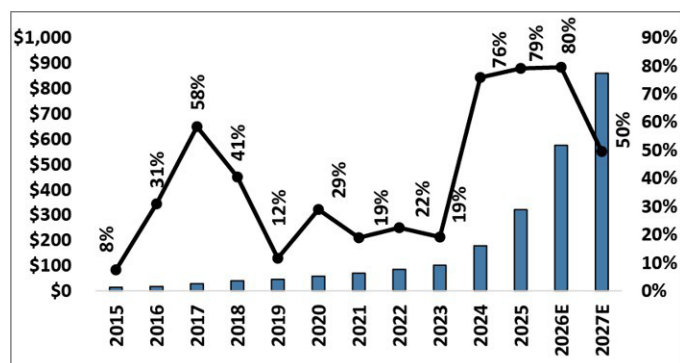
Source: J.P. Morgan estimates, Gartner®. Note: Calculation of Accton’s datacenter switch SAM only includes white-box ToR switches for scale-out fabrics. AI ASIC scale-out networking switch SAM only includes AWS ASIC back-end ToR switch TAM, while we include AI front-end scale-out SAM into generic whitebox Ethernet switch categories.

Accelerating hyperscaler server spending driving datacenter switch demand

Leading hyperscalers have been stepping up data center investment since 2H23, with AI infrastructure a clear priority. Our U.S. hardware analyst, Samik Chatterjee, raised the aggregate cloud capex for the top four U.S. hyperscalers to +80% YoY growth in 2026

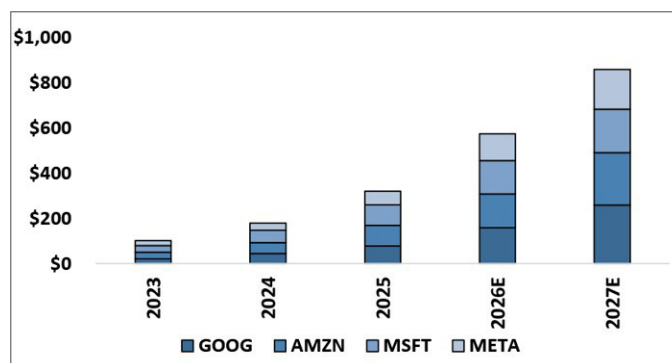
(vs. prior +63% YoY) post CSPs' recent capex guidance raises, following strong growth of +76%/+79% YoY in 2024/25 ([link](#)). This echoes our view of continued capex guidance increases in the coming quarters, driven by rising component costs and pent-up AI demand. Our U.S. team also introduced 2027 capex forecast at +50% YoY growth, which suggests sustained revenue momentum for datacenter server and networking vendors.

Figure 8: Cloud capex of the top 4 U.S. hyperscalers



Source: 650 Group, J.P. Morgan estimates ([link](#)).

Figure 9: Annual data center capex from top 4 U.S. CSPs

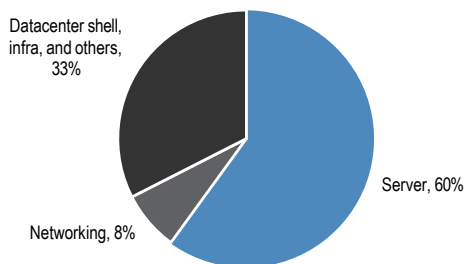


Source: 650 Group, J.P. Morgan estimates ([link](#)).

Data center infrastructure spending extends well beyond servers to include networking, data center shells, utilities, and other components. While switches represent only ~5-10% of total data center hardware spend, they are critical to connectivity, security, and overall data center efficiency. As AI compute scales and cluster sizes expand, bandwidth requirements and switch capacity needs rise sharply to support higher-throughput data transmission.

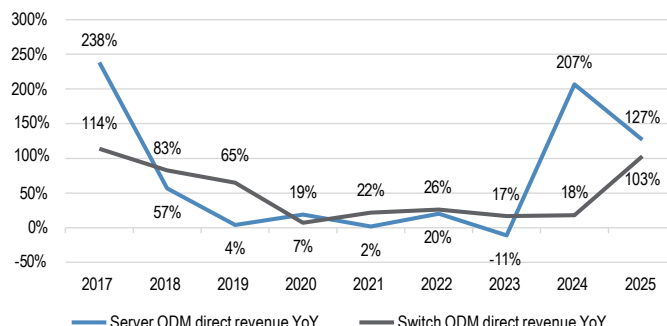
Over the past 2–3 years, CSPs have prioritized AI server investment and data center build-outs, while networking has lagged. Gartner® data shows ODM-direct server spending increased 207%/127% in 2024/2025, versus ODM-direct switch spending growth of 18%/103% over the same period. We expect CSPs to step up networking spending to reduce latency and improve data transmission rates. Overall, we believe aggressive AI server investment will pull forward a multi-year networking switch upgrade cycle—supportive for white-box switch vendors such as Accton.

Figure 10: Datacenter hardware spending breakdown



Source: J.P. Morgan estimates.

Figure 11: Switch ODM-direct vs. server ODM-direct spending growth



Source: Gartner®.

AI-driven general-purpose server spending drives demand for generic networking fabric investments

- We introduce our proprietary, bottom-up analysis of Accton's generic white-box Ethernet switch TAM. Given Accton's focus on ToR switches for U.S. hyperscalers, our framework centers on projected demand for generic white-box ToR switches at the top 4 U.S. CSPs. We also include the front-end AI server network in our forecast. Overall, we forecast a ~43% CAGR over 2025–28 for the general-purpose white-box Ethernet ToR switch revenue TAM, driven by (1) stronger general-purpose server demand, (2) rapid build-out of AI front-end network fabrics, and (3) ASP uplift from ongoing speed migration. Key assumptions include:
- **Top 4 U.S. CSP server shipments:** Historical server motherboard shipments are based on ODM feedback. We expect shipments to accelerate over the next few years on AI-driven inference demand, and estimate shipment growth of 40%/25%/20% in 2026/27/28. There could be upside risks to our general server shipment assumptions driven by fast-growing agentic AI demand.
- **NICs per server:** General-purpose servers typically have 2–4 NICs. We expect NICs per server to gradually trend higher as bandwidth requirements increase with AI inference workloads.
- **Ports per NIC:** NICs typically carry 1–2 ports. We assume 2 ports per NIC in our analysis.
- **Oversubscription ratio:** In a leaf-spine topology, ToR switches connect to server-facing NIC ports (downlinks) and to spine switches (uplinks). In traditional IT spine-leaf fabrics, the downlink-to-uplink bandwidth ratio is typically below 3:1. We expect this ratio to compress over time as AI inference workloads increase and uplink bandwidth requirements rise.
- **White-box switch penetration:** White-box Ethernet adoption in data center ToR switches has been increasing, supported by better TCO (Total Cost of Ownership) and a more mature open NOS (Network Operating Software) ecosystem.
- **Port shipment mix by speed:** While 400G/800G ports are being adopted in AI server front-end networks (initially in 2023/2026, respectively), 100G should remain the mainstream choice for the broader, generic networking fabric.

- **ASP per port by speed:** Our port ASP assumptions are anchored in our 650 Group historical data and our U.S. team forecasts. While we expect price erosion at a given speed, we forecast a 6% CAGR in blended ASPs over 2025–28, driven by a faster upgrade cycle.

Table 3: JPM bottom-up generic whitebox Ethernet ToR switch TAM for Accton

k units	2022	2023	2024	2025	2026E	2027E	2028E	25-28 CAGR
Top 4 US CSP general server board shipments	7,167	5,857	6,144	8,767	12,274	15,342	18,411	28%
YoY		-18%	5%	43%	40%	25%	20%	
Number of networking interface cards (NICs) per server	2.3	2.5	2.5	2.5	2.6	2.6	2.6	
Port per NICs	2.0	2.0	2.0	2.0	2.0	2.0	2.0	
Oversubscription ratio	0.66	0.64	0.64	0.64	0.63	0.63	0.62	
Top 4 US CSP datacenter ToR switch port demand	49,952	45,758	48,000	68,492	101,308	126,634	154,412	31%
Whitebox ToR switch penetration rate	47%	46%	50%	60%	62%	64%	66%	
Top 4 US CSP whitebox datacenter ToR switch port demand	23,477	21,049	24,000	41,095	62,811	81,046	101,912	35%
YoY		-10%	14%	71%	53%	29%	26%	
Top 4 US CSP datacenter ToR switch port shipment mix by speed								
1Gbps	1%	1%	0%	0%	0%	0%	0%	
10Gbps	3%	2%	1%	1%	1%	0%	0%	
40Gbps	0%	0%	0%	0%	0%	0%	0%	
25/50Gbps	11%	6%	4%	4%	3%	2%	1%	
100Gbps	85%	90%	92%	92%	87%	82%	74%	
200/400Gbps	0%	1%	3%	4%	8%	13%	20%	
800Gbps	0%	0%	0%	0%	1%	3%	5%	
	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	
Top 4 US CSP datacenter ToR switch port shipment by speed								
1Gbps	235	105	72	82	63	0	0	
10Gbps	704	421	240	329	314	243	102	
40Gbps	47	21	0	0	0	0	0	
25/50Gbps	2,536	1,347	888	1,438	1,884	1,621	1,019	
100Gbps	19,956	18,944	22,080	37,602	54,897	66,215	75,313	
200/400Gbps	0	210	720	1,644	5,025	10,536	20,382	
800Gbps	0	0	0	0	628	2,431	5,096	
Total	23,477	21,049	24,000	41,095	62,811	81,046	101,912	35%
ASP per whitebox switch port by speed (US\$)								
1Gbps	21	21	20	19	19	19	18	-2%
10Gbps	46	45	55	52	51	50	49	-2%
40Gbps	83	80	0	0	0	0	0	
25/50Gbps	48	47	47	45	44	43	42	-2%
100Gbps	115	115	108	102	99	96	93	-3%
200/400Gbps	354	341	298	268	241	229	218	-7%
800Gbps	422	379	341	306	289	264	239	-8%
Blended ASP per port (\$)	105	111	110	106	110	117	125	6%
Whitebox Ethernet switch revenue by speed (US\$mn)								
1Gbps	5	2	1	2	1	0	0	
10Gbps	32	19	13	17	16	12	5	
40Gbps	4	2	0	0	0	0	0	
25/50Gbps	122	63	42	64	82	69	43	
100Gbps	2,302	2,173	2,375	3,843	5,442	6,367	7,024	
200/400Gbps	0	72	214	440	1,212	2,413	4,435	
800Gbps	0	0	0	0	182	642	1,218	
Total TAM (US\$mn)	2,466	2,330	2,646	4,366	6,935	9,504	12,726	43%
YoY		-5%	14%	65%	59%	37%	34%	

Source: 650 Group, Gartner®, J.P. Morgan estimates.

AI/ML drives both front-end and back-end networking upgrades

AI data centers typically run two distinct networks: a front-end network (traditional Ethernet fabric that connects to the external network/Internet) and a back-end network (cluster fabric that connects the AI training pods) (see Figure 12, illustration of front-end and back-end networks in AI/ML clusters).

We believe AI is creating an incremental back-end GPU training network while also pulling forward refresh cycles in the front-end. We expect back-end to upgrade faster, reflecting the roughly annual cadence of the GPU platform cycle. At the same time, we

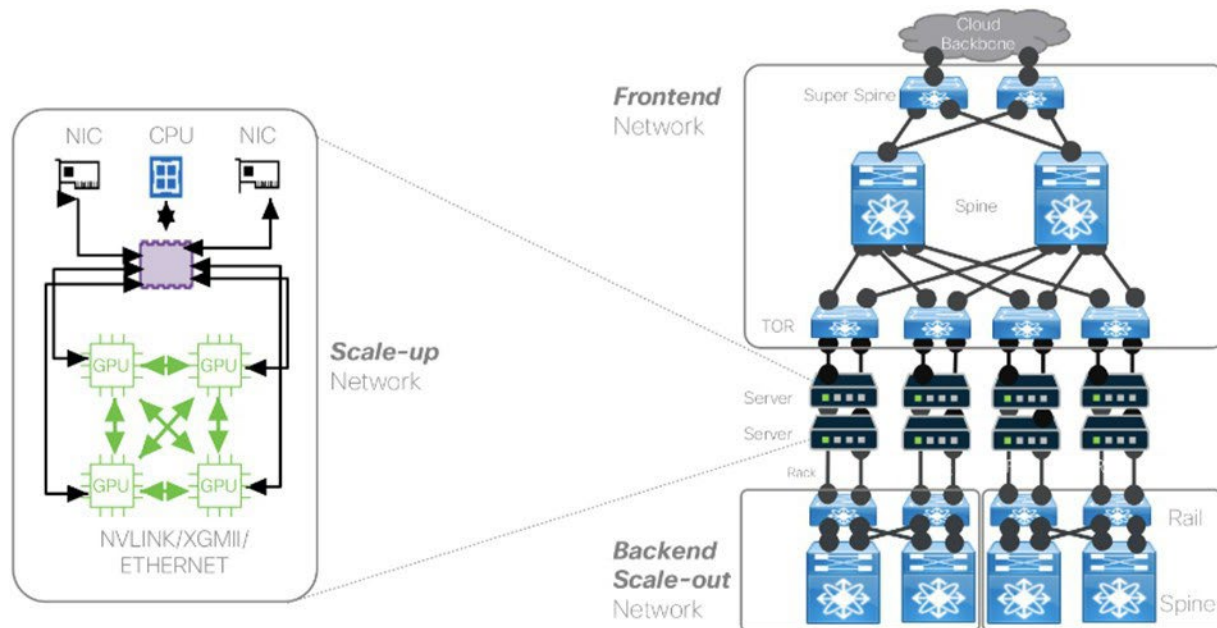
expect ongoing upgrades in the traditional front-end network as training and inference drive materially higher bandwidth requirements and overall data volumes.

Arista management has suggested that every dollar of back-end network spend by data center customers can drive an additional dollar of similar spend on the front-end network—implying that the front-end also scales with the growing size of AI clusters. We also see continued spec upgrades in front-end NICs (e.g., BlueField 3 400G in GB200/300 moving to BlueField 4 800G in VR200 systems). Our research indicates that one key U.S. hyperscaler has also upgraded its in-house front-end NIC solution for NVL72 servers from 200G in GB200/300 to 400G in VR200.

Beyond AI servers, we are also seeing a multi-year general-purpose server upcycle driven by rising agentic-AI workloads, which should further support traditional front-end networking demand.

Ethernet networking vendors (e.g., Arista, Juniper, Cisco, Accton) have served the front-end networking market for decades and should benefit from the AI-driven upgrade cycle (particularly white-box data center switch vendors). While AI GPU back-end networks have historically skewed toward InfiniBand, we see Ethernet increasingly penetrating AI clusters, creating incremental TAM for Ethernet switch vendors. Our research suggests that several of the top four U.S. hyperscalers (e.g., Amazon, Google) are inclined to deploy Ethernet in their back-end networks as well.

Figure 12: Illustration of the front-end and back-end networks in AI/ML clusters



Source: Cisco.

There are two types of GPU networks: AI scale-up and AI scale-out. Today, Accton is primarily exposed to GPU scale-out networks through a key CSP customer, and we believe it is gaining share at an additional U.S. hyperscaler. While Nvidia's GPU servers are likely to remain anchored to proprietary NVLink for scale-up connectivity, we believe AMD platforms and CSP in-house ASIC servers are more open to non-Nvidia scale-up options, including Ethernet-based approaches (e.g., ESUN/SUE), UALink, and

PCIe-based solutions.

We are also seeing early signs of Ethernet-based scale-up network development, notably OCP's ESUN and Broadcom's SUE (Scale-up Ethernet). If Ethernet-based scale-up switching is adopted in next-generation AI server architectures, it could open a meaningful incremental TAM opportunity for Accton. Our research indicates Accton is already engaged with a key ASIC customer on scale-up switch design work.

Higher GPU bandwidth drives back-end scale-out switch demand

A network interface card (NIC) connects an end device (e.g., storage, GPU, and CPU servers) to the compute network fabric. NIC-to-switch link speed is a key trigger for upgrades across the switching stack—from ToR/leaf to spine. In practice, datacenter operators aim to align NIC/switch and switch/switch speeds at defined “match points” to optimize throughput, latency, and overall network efficiency. Upgrade timing is also shaped by total cost of ownership and ecosystem readiness (e.g., availability and maturity of switch ICs, SerDes, and optical transceivers). When speeds are mismatched, networks can experience higher latency, inefficient utilization, and ultimately suboptimal performance.

NIC specifications also influence protocol choices (e.g., InfiniBand vs. Ethernet). Nvidia's ConnectX SuperNICs support both Ethernet and InfiniBand, while most CSP in-house networking solutions are Ethernet-based rather than InfiniBand.

Table 4: Key components of a datacenter leaf-spine networking system

Networking equipment/devices	Functions
Network interface card (NIC)	Gateways between server nodes and networks
Leaf switch/top-of-rack switch	First connections from NICs to the rest of networks
Spine switch	Responsible for the east-west traffic. The port capacity of spine switches determines the scale/number of racks
Cable	Connects different devices in networks. There are copper or optical cables. The former has cheaper cost and consumes less power, while the latter could connects the devices with better connecting efficiency in long distance. Usually copper cable is used within rack, while optical cable is used between racks.
Optical transceiver	Allows longer connecting distance between leaf-to-spine switches

Source: Company data.

As accelerator chips become more compute-intensive and memory bandwidth increases, we expect NIC specifications to step up (e.g., higher link speeds and more advanced feature sets) and/or NIC volumes per server to rise. For example, Nvidia's A100/H100/H200 platforms have moved to 400G SmartNICs (ConnectX-7), versus 100G SmartNIC configurations used in P100/V100-era deployments circa 2016.

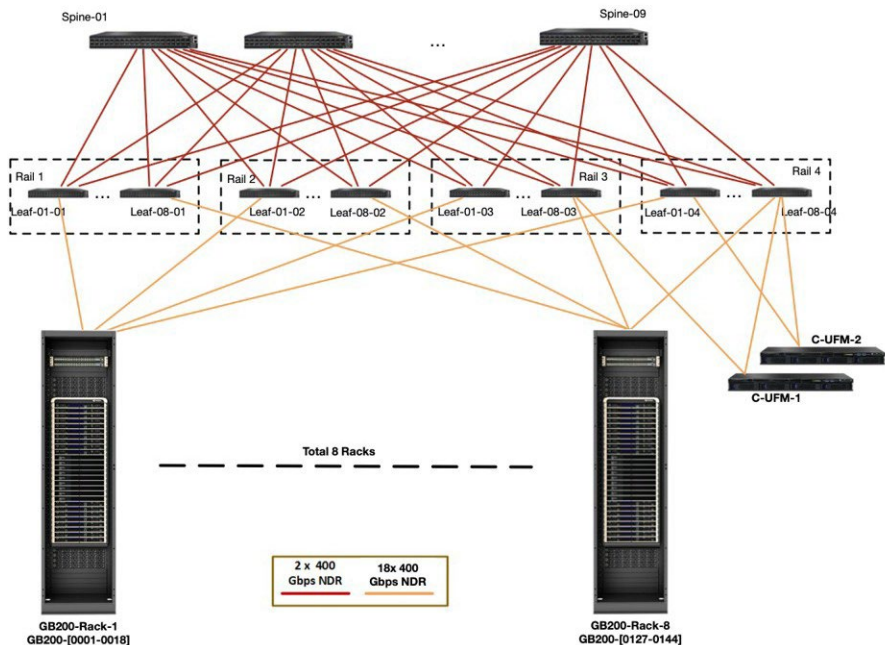
Table 5: Nvidia's networking card roadmap (CX family)

	CX3	CX4	CX5	CX6	CX7	CX8	CX9	CX10
Maximum total bandwidth (Gb/s)	10	50	100	200	400	800	800	TBD
Launch time	2015	2020	2020	2021	2022	2025	2H26	2028
Supported Ethernet speeds			1/10/25/40/50/100GbE	10/25/40/50/100/200GbE	10/25/40/50/100/200/400GbE	25/50/100/200/400/800GbE	Up to 1.6TbE	TBD
Number of network ports			up to 2	up to 2	up to 4	up to 2	up to 2	TBD

Source: Nvidia.

While initial Blackwell server configurations continued to use 400G ConnectX-7 (CX7) NICs as networking adapters, largely reflecting time-to-market priorities, Nvidia's 800G SmartNIC (ConnectX-8; CX8) reached general availability in 2H25 and GB300 systems have shifted to CX8. In our view, this transition—alongside a smoother GB200-to-GB300 ramp driven by the board redesign and strong GB300 demand this year—should expedite the 800G switch upgrade cycle.

Table 6: Nvidia's GB200 compute fabric topology



Source: Nvidia.

Looking ahead, we expect Nvidia and AMD to maintain a short GPU roadmap cadence to meet surging AI compute demand—an important catalyst for continued networking switch upgrades. Nvidia's next-generation GPUs (i.e., Vera Rubin servers) are expected to adopt 1.6T-class NICs (e.g., ConnectX-9). In addition, our research suggests that the NIC-to-GPU ratio doubles in VR200 systems to 2:1 (vs. 1:1 in GB200/300), with potential for a further step-up in the Vera Rubin Ultra.

A faster switch upgrade cycle—paired with the exponential growth in GPU memory bandwidth—supports a materially expanding AI switch TAM. We believe Accton is well positioned to benefit from the sustained secular demand in GPU scale-out networks.

Figure 13: Nvidia GPU server roadmap

	2H24	1H25	2H25	2H26	2H27	2H28	
Arm-based		GB200 NVL72 GPU: HBM: 192GB, TDP: 1.2kW CX7 400G	GB300 NVL72 GPU: HBM: 288GB, TDP: up to 1.4kW CX8 800G 1.5x FP4 performance	Vera-Rubin NVL144 GPU: HBM: 288GB, TDP: 1.8/2.3kW (tol. 180-230kW) Dual CX9 1.6T	Vera-Rubin CPX 180-220kW CX9 per CPX, 800G	Vera-Rubin Ultra NVL576 GPU: HBM4e, TDP: TBD 4*CX9, 3.2T	Feynman generation CX10
x86-based	4/8-way H200 GPU: HBM: 141GB, TDP: 0.7kW CX7 400G	8-way B200 GPU: HBM: 192GB, TDP: 1kW CX7 400G	8-way B300 GPU: HBM: 288GB, TDP: 1.2kW CX8 800G 1.5x FP4 performance	8-way Rubin HBM4; System power at 20-25kW CX9 800G		8-way Rubin Ultra HBM4e; System power: TBD CX9 800G	

Source: J.P. Morgan estimates, Company data.

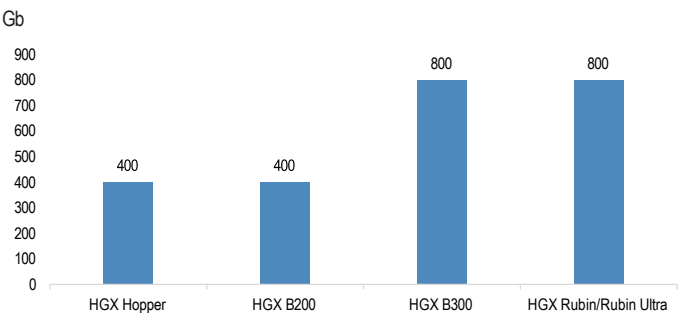
Quantifying Nvidia's AI/ML ToR TAM for Accton

In the analysis below, we size the AI-related high-speed switch TAM and assess the associated growth opportunity for Accton. Given Nvidia's dominant position in the AI data center GPU market, we anchor our framework on Nvidia-led AI infrastructure and estimate port demand based on our Nvidia GPU system forecasts and bandwidth

specifications.

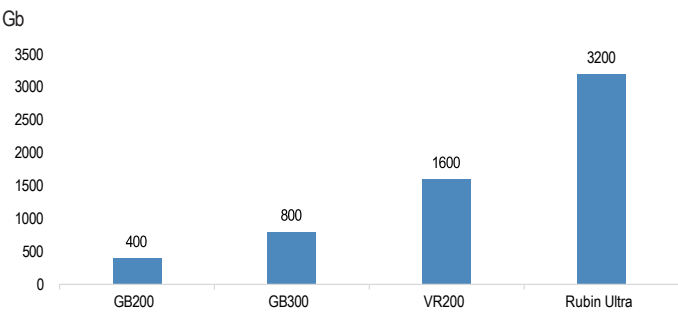
We see two primary drivers for the GPU scale-out switch TAM: exponential growth in GPU networking bandwidth and sustained strength in AI demand. To support rapidly scaling AI workloads, GPU bandwidth has stepped up from 400G in Hopper HGX/GB200-class platforms to 800G in Blackwell/Rubin HGX/GB300. Our research further suggests that GPU bandwidth could double to 1.6T in VR200 and then double again in the Rubin Ultra generation.

Figure 14: Nvidia's GPU bandwidth - HGX server



Source: J.P. Morgan estimates, Company data.

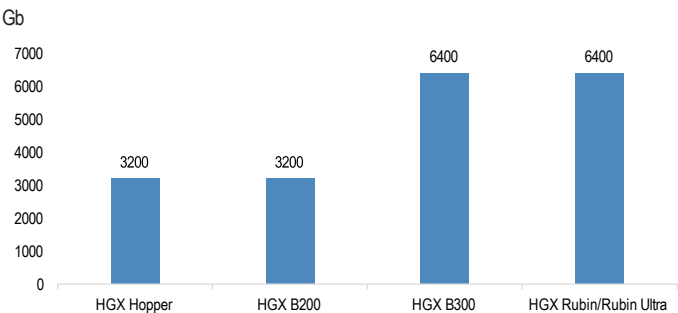
Figure 15: Nvidia's GPU bandwidth - NVL72/144 rack



Source: J.P. Morgan estimates, Company data.

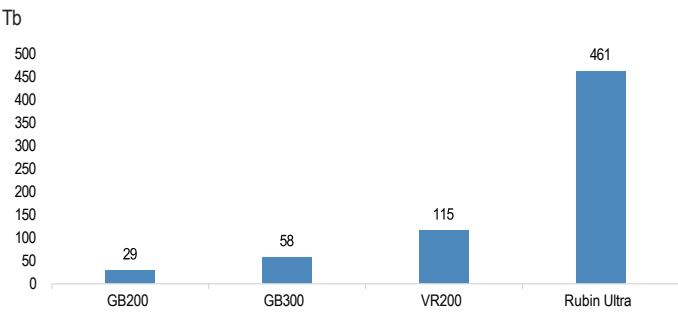
Based on GPU density per system and assuming a fully utilized fat-tree topology, we derive total system bandwidth and the implied 800G-equivalent ToR switch port requirement per system. Combined with our AI server shipment forecast, this framework underpins our estimate of Nvidia's 800G-equivalent AI server ToR switch port demand.

Figure 16: Nvidia's GPU system bandwidth - HGX server



Source: J.P. Morgan estimates, Company data.

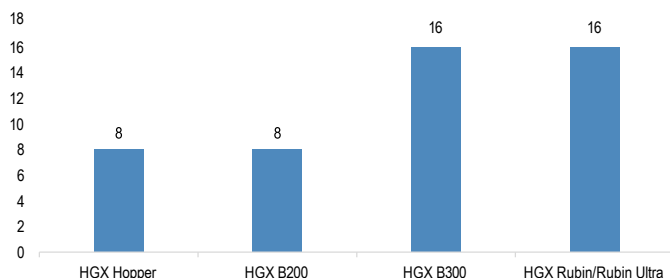
Figure 17: Nvidia's GPU system bandwidth - NVL72/144 rack



Source: J.P. Morgan estimates, Company data.

Figure 18: Nvidia's GPU port demand - HGX server

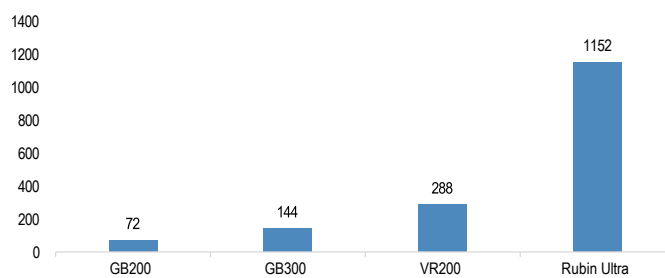
800G eqv. port unit



Source: J.P. Morgan estimates, Company data.

Figure 19: Nvidia's GPU port demand - NVL72/144 rack

800G eqv. port unit



Source: J.P. Morgan estimates, Company data.

For ASP, our 800G switch port assumptions are based on our BoM cost estimates (see Table 9). On this basis, we estimate Nvidia's high-speed ToR switch revenue TAM for the back-end GPU network at ~US\$2.6bn in 2025. We expect this TAM to expand at a 126% CAGR over 2025–28, driven by the step-function increase in GPU bandwidth and sustained AI demand.

We see even stronger growth potential for Nvidia's GPU networking Ethernet switch TAM as Ethernet continues to gain share versus InfiniBand. Dell'Oro estimates Ethernet penetration in AI back-end networks increased from ~20% in 2023 to 60%+ by the end of 2025. We expect Ethernet adoption to continue rising over the next few years within Nvidia's GPU back-end networks, and forecast a ~164% CAGR for the Ethernet switch TAM over 2025–28.

Table 7: Nvidia's GPU ToR switch TAM estimates

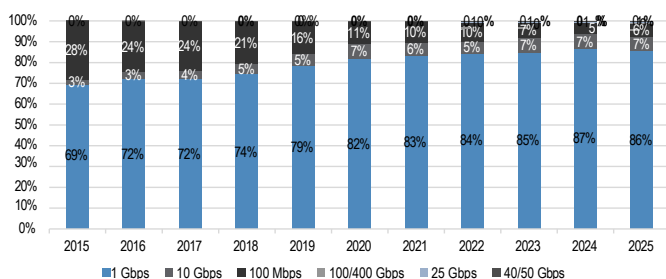
	2023	2024	2025	2026E	2027E	2028E	25-28 CAGR
AI server shipment estimates (k racks)							
GB200			20	5			
GB300			5	60	10		
VR200				5	60	10	
Kyber NVL144					3	40	
HGX							
Hopper	30	70	6	3			
Blackwell			25	31	6		
Rubin				5	38	44	
800G eqv. port demand per rack							
GB200	72	72	72	72	72	72	
GB300	144	144	144	144	144	144	
VR200	288	288	288	288	288	288	
Kyber NVL144	1,152	1,152	1,152	1,152	1,152	1,152	
HGX							
Hopper	64	64	64	64	64	64	
Blackwell	128	128	128	128	128	128	
Rubin	128	128	128	128	128	128	
800G eqv. port demand (k)							
GB200	0	0	1,440	360	0	0	
GB300	0	0	720	8,640	1,440	0	
VR200	0	0	0	1,440	17,280	2,880	
Kyber NVL144	0	0	0	0	2,880	46,080	
HGX							
Hopper	1,920	4,480	400	160	0	0	
Blackwell	0	0	3,200	4,000	800	0	
Rubin	0	0	0	640	4,800	5,600	
Total port demand (k, 800G eqv.)	1,920	4,480	5,760	15,240	27,200	54,560	112%
ASP per 800G eqv. port (US\$)	564	506	455	487	521	557	7%
Nvidia's GPU networking TAM (US\$mn)	1,082	2,269	2,621	7,420	14,169	30,411	126%
YoY		110%	16%	183%	91%	115%	
Ethernet adoption rate	20%	32%	55%	75%	82%	87%	
Nvidia's GPU networking Ethernet TAM (US\$mn)	216	733	1,441	5,565	11,619	26,458	164%
YoY		239%	97%	286%	109%	128%	

Source: J.P. Morgan estimates for actuals and forecasts. Note: assume each rack contains 8 HGX servers.

Accelerating network upgrade cycles driven by AI compute

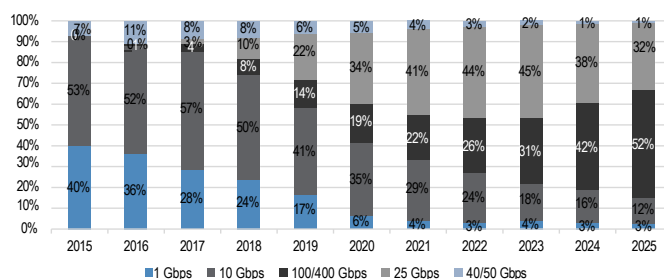
Gartner® data points to a rapid pace of speed migration in data center switching, driven by surging data generation and rising workload complexity—particularly with the emergence of gen-AI—while enterprise customers continue to upgrade at a much slower pace. Mainstream enterprise switch ports remain anchored at 10G (90%+ of campus switch port shipments in 2025). In contrast, for datacenter customers, sub-10G ports have fallen to ~15% of total switch port shipments from 90%+ in 2015, while ports above 100G have climbed to 50%+ versus near-zero in 2015.

Figure 20: Campus switch port shipments by speed



Source: Gartner®.

Figure 21: Datacenter switch port shipments by speed



Source: Gartner®.

Data center customers kicked off the 100G upgrade cycle in 2015, and the transition from 100G to 200/400G took roughly seven years. By comparison, the 400G-to-800G migration window has compressed to ~3–4 years (2022–25). Our industry research suggests the initial 1.6T ramp is likely to begin in 2H26, implying the 800G-to-1.6T transition could compress to less than two years.

A shortening upgrade cadence is supportive of data center switch ASP expansion. We see Accton as a key beneficiary, given its strong positioning in high-speed white-box data center switches.

Table 8: Datacenter switch technology roadmap

Speed	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
100G													
200G/400G													
800G													
1.6T													

Source: 650 Group, J.P. Morgan estimates.

Continued ASP expansion in datacenter switches on content growth and a shorter upgrade cadence

We estimate an 800G bare-metal switch costs a little more than 2x a 400G switch, primarily driven by higher content in switch silicon and upgrades in PCB/CCL materials required for higher-speed transmission. Looking ahead, 1.6T platforms are expected to adopt Tomahawk 6, with CCL material upgrading to M9—providing a continued tailwind to ASP expansion. This underscores meaningful revenue upside for Accton as

800G/1.6T penetration rises.

Speed migration remains the core driver of data center switch ASP expansion. Each generational step-up requires more advanced components—switch ICs, CCL/PCBs, power delivery, and thermal systems—pushing BoM costs higher. For example, our industry research suggests Tomahawk 5 ASP is ~2–3x that of Tomahawk 4.

At the board level, higher speeds typically require both an upgrade in CCL materials and a higher PCB layer count to maintain signal integrity. Our research suggests CCL costs step up materially in 800G switches, where materials move to M8 versus M6+ in 400G designs. Combined with higher layer counts, this can drive a multi-fold increase in PCB-related costs, reinforcing the upward trajectory in system ASPs.

Finally, we see incremental upside from broader adoption of liquid cooling in high-end switches as switch silicon and optical components become more power-dense and hyperscalers increasingly optimize for data center energy efficiency. CPO adoption could also significantly increase the switch BoM and bodes well for ODM margins given the high complexity, in our view. Our research also indicates that Nvidia's Spectrum-X switch chip has a higher price point vs. Broadcom's Tomahawk solution.

Table 9: Switch BoM comparison - 400G vs. 800G bare-metal switch

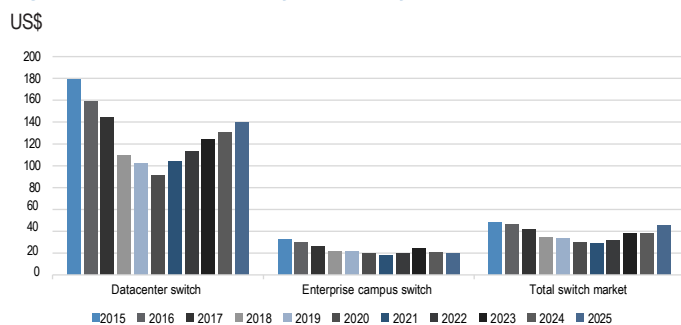
400G switch					
	Unit price (\$)	Volume	Total cost	% of BoM	Note
CPU	146	1	146	2%	Intel® Xeon® Processor D-1527
Switch chip	4000	1	4,000	52%	Tomohawk 4
Fans	20	8	160	2%	7+1
PSU	160	2	320	4%	1600W, N+N redundancy
Chassis	300	1	300	4%	
PCB	800	1	800	10%	
NAND	0.3	256	77	1%	
DRAM	2.5	34	85	1%	Management + control pane
Others			310	4%	Cables, connectors, others
Subtotal			6,198	80%	
MVA			1,550	20%	Assume 20% GM for ODM
Total			7,748	100%	
800G switch					
	Unit price (\$)	Volume	Total cost	% of BoM	Note
CPU	219	1	219	1%	Intel® Xeon® Processor D-1527
Switch chip	12000	1	12,000	62%	Tomohawk 5
Fans	23	8	184	1%	7+1, assume some spec upgrades for fans to dissipate more heats
PSU	360	2	720	4%	Assuming 20% power consumption increase vs. 400G. 3000W PSU 1+1 spec
Chassis	300	1	300	2%	2U
PCB	1500	1	1,500	8%	CCL content growth 3-4x (layer count +20-30%; M6+ to M8 migration +3x material ASP expansion)
NAND	0.3	240	72	0%	240G
DRAM	2.5	32	80	0%	Management + control pane. 32GB DDR4 SODIMM.
Others			466	2%	Cables, connectors, other analog ICs and peripheral components
Subtotal			15,541	80%	
MVA			3,885	20%	Assume 20% GM for ODM
Total			19,427	100%	

Source: J.P. Morgan estimates. NAND/DRAM volume is on a per GB basis.

Given the wide variation in switch radix specifications, we focus on ASP per switch port in the discussion below. In a new cycle, switching vendors typically capture a meaningful ASP premium in the early ramp, followed by ~5% annual ASP erosion as volumes scale and the technology matures. As a result, the pace of speed migration—and the resulting port shipment mix—are the key swing factors for the blended ASP trajectory.

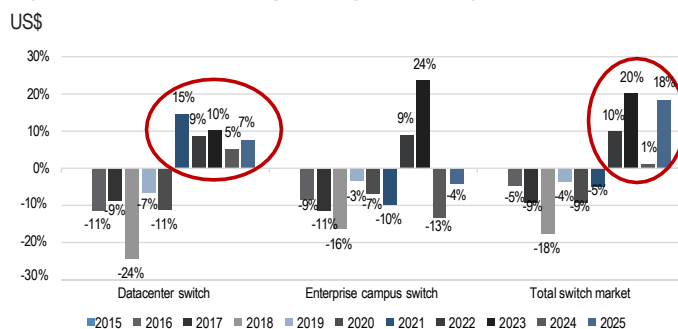
For example, while we saw a low-single-digit annual decline in ASP for each individual data center switch port speed over 2018–25, the mix shift toward higher-speed ports still drove blended ASP growth of ~4% CAGR. In contrast, Gartner® data show that the blended ASP for campus switch ports declined by ~1% per year over the same period. We attribute this gap to slower speed migration on campus switches, which limits mix-driven ASP uplift.

Figure 22: Switch port ASP by customer type



Source: Gartner®.

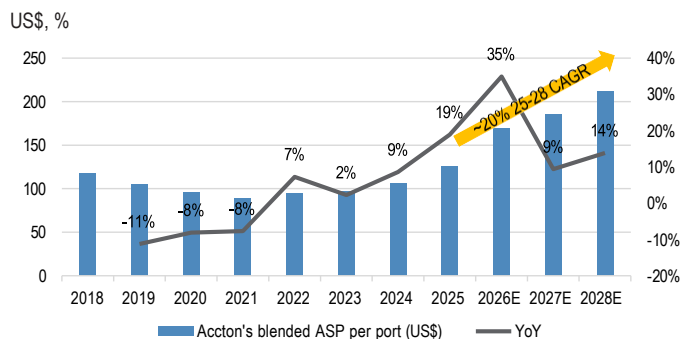
Figure 23: Switch port ASP growth by customer type



Source: Gartner®.

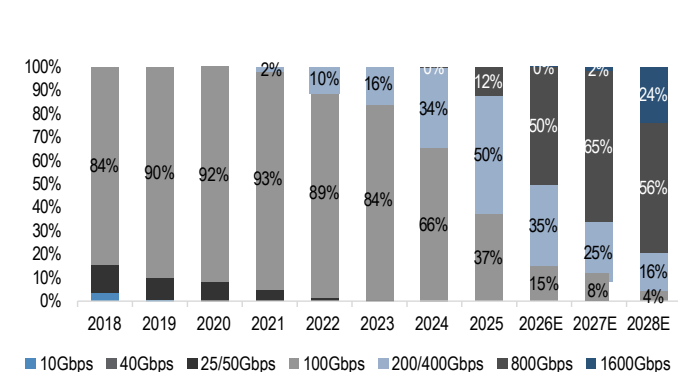
We believe Accton is well positioned to benefit from the faster speed migration cycle in data center switching, given its high exposure to white-box data center switches (~40% of total revenue today on our estimates). Our industry research suggests Amazon, one of Accton's key customers, began an initial 800G ramp in late 2024, and a second customer, Meta, has also been ramping its 800G program since late 2025. Overall, we forecast a ~20% CAGR in Accton's switch port ASP over 2025–28, primarily driven by the 800G/1.6T upgrade cycle.

Figure 24: Blended ASP of Accton's datacenter switch port



Source: Company data, J.P. Morgan estimates.

Figure 25: Accton's datacenter switch revenue breakdown by speed



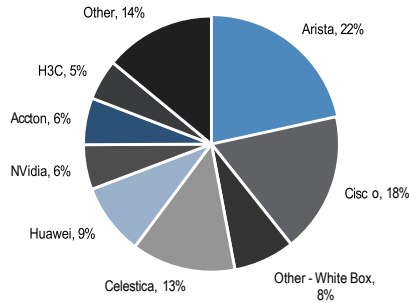
Source: Company data, J.P. Morgan estimates.

Consolidated whitebox datacenter Ethernet switch market indicating large growth potential for Accton's switch business

We see a more consolidated competitive landscape in the datacenter switch market vs. the datacenter server market. Key datacenter switch players include Arista, Cisco, Nvidia, Accton, and Celestica, while there are 10+ key players in the datacenter server

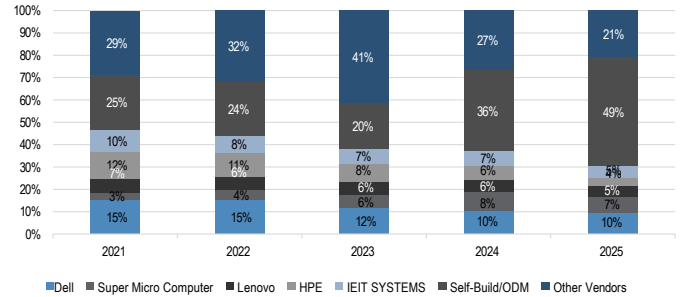
market.

Figure 26: Datacenter Ethernet switch market breakdown by vendor revenue share (2025)



Source: 650 Group, J.P. Morgan.

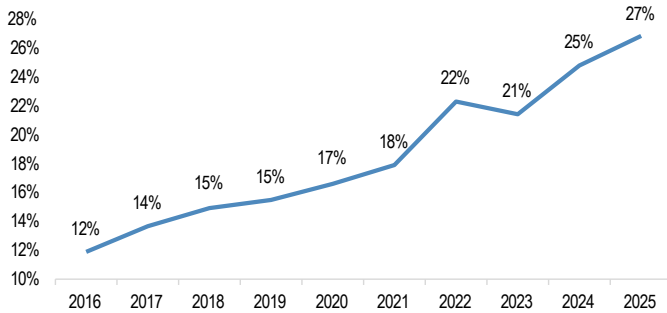
Figure 27: Server vendor revenue share



Source: Gartner®, J.P. Morgan. Key whitebox server ODMs include Quanta, Wiyynn, Hon Hai, Lenovo, Inventec, Jabil, etc.

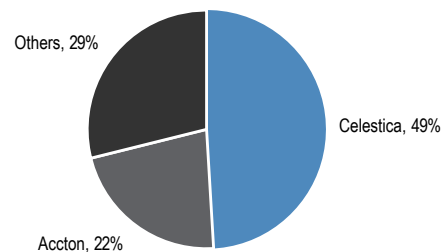
Focusing on the switch ODM market, which mostly caters to the datacenter ToR switch market, we see a more consolidated landscape with Accton and Celestica capturing 70%+ of the market. We attribute the market consolidation to networking software integration capabilities and hardware ecosystem. Furthermore, whitebox switch vendors have been gaining share against switch brands in CSPs' ToR layer due to significant cost benefits. Therefore, we believe whitebox switch ODMs will be the key beneficiaries amid the accelerating datacenter switch upgrade cycle.

Figure 28: ODM vendor revenue share in the datacenter Ethernet switch market



Source: 650 Group, J.P. Morgan.

Figure 29: Datacenter whitebox Ethernet switch market breakdown by vendor revenue share (2025)



Source: 650 Group, J.P. Morgan. Other whitebox ODM vendors include Delta, Quanta, Wistron, etc.

Market share rebound in Meta 800G projects

Accton was the clear leader in the 100G white-box switch cycle, but its share declined in 200G/400G following a mix/share shift at Meta. We believe Accton is positioned to recapture share in the 800G/1.6T generation, supported by renewed share gains at Meta.

Beyond Meta, there is incremental upside if Accton can penetrate Microsoft's switch supply chain, which today remains more heavily served by branded OEMs such as Arista, Cisco, and Dell.

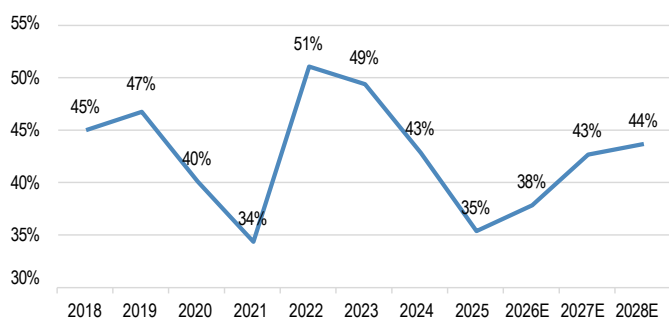
Table 10: Whitebox ToR/Leaf switch ODM matrix

	100G		200/400G		800G	
	Major	Minor	Major	Minor	Major	Minor
Amazon	Accton (90-100%)	Celestica (0-10%)	Accton (80-90%)	Celestica (10-20%)	Accton (50-60%)	Celestica (40-50%)
Meta	Accton (80-90%)	Celestica (10-20%)	Celestica (100%)		Celestica (50-55%), Accton (30-35%)	Cisco
Google	Celestica (100%)		Celestica (100%)		Celestica (100%)	
Microsoft	Arista	Cisco, Dell	Arista	Cisco, Dell	Arista	Cisco, Dell

Source: J.P. Morgan estimates.

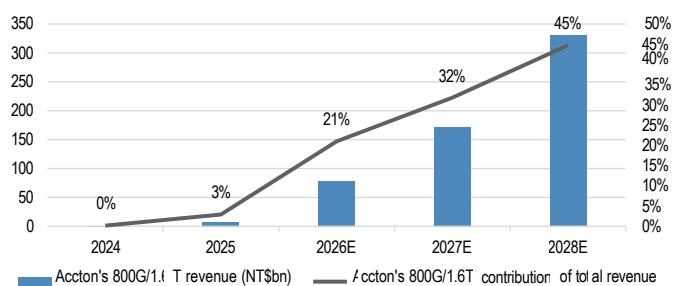
We expect Accton's share of the white-box data center ToR switch market to increase to 44% by 2028 from 35% in 2025, driven by AWS's migration to 800G/1.6T switches and share gains in Meta's 800G generation.

Figure 30: Accton's m/s in whitebox datacenter ToR switch market



Source: Company data, J.P. Morgan estimates.

Figure 31: Accton's 800G/1.6T total revenue contribution



Source: J.P. Morgan estimates, Company data.

Lion's share in Amazon and Meta's 100G cycle

Accton has long been a bellwether in the white-box switching ecosystem. In 2015, HP collaborated with Accton to develop "BriteBox" switches targeted at 10G/40G configurations for CSP customers. In parallel, as a key contributor to Meta's Open Compute Project (OCP) switching efforts, Accton's wholly owned subsidiary, Edgecore, launched the industry's first open network switch (Wedge-16X) based on Meta's Wedge design and running Facebook Open Switch System (FBOSS). Shipments of Accton's Wedge and BriteBox platforms began in 1H15.

Supported by first-mover advantage, sustained R&D investment, and deep hyperscaler relationships, Accton established a dominant position in the white-box data center market (50%+ share) during the 100G cycle (2015–21), including an estimated lion's share (80%+) of Amazon and Meta's 100G switch volumes. In contrast, Google primarily outsources switch manufacturing to EMS vendors (CLS); Accton has historically opted not to pursue Google's switch supply chain given less attractive margin economics.

M/s shift in Meta's 200G/400G cycle

Meta introduced Minipack in March 2019, a 32-port 400G fabric switch built by Edgecore Networks. It was the industry's first 400G open network switch. Minipack

delivers materially better efficiency versus its predecessor, Backpack, using roughly half the power and space, and runs on Meta's FBOSS software.

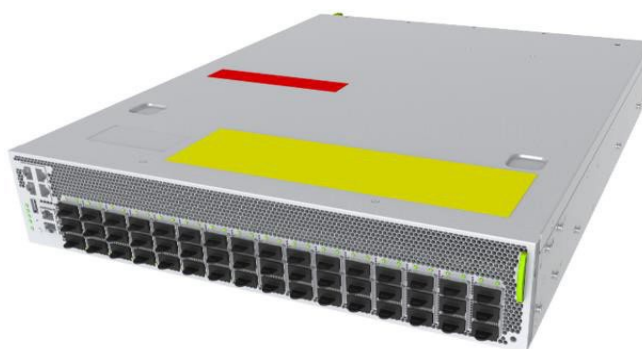
That said, 400G did not move into a true volume cycle until 2021–22, when Meta launched Minipack 2 (e.g., Wedge 400/400C) and selected Celestica as an ODM partner. We attribute the slower-than-expected 400G ramp to limited availability of high-volume, low-cost 400G optics, early technical friction, and COVID-related disruptions. As the 400G program scaled from 2022, these factors contributed to a market share shift within Meta from Accton to Celestica.

Figure 32: Edgecore's Minipack AS8000 Switch



Source: Edgecore Networks (Accton). The Minipack AS8000 switch is a modular system capable of supporting a mix of 100G and 400G Ethernet interfaces up to a maximum of 128x100G or 32x400G ports.

Figure 33: Meta's Wedge 400 ToR switch



Source: Company data.

Clawing back market share in Meta's 800G cycle in 2026

Entering the 800G cycle, we expect Accton to retain its leadership position in Amazon's 800G deployments while also regaining share within Meta's 800G program. At OCP 2024, Meta introduced Minipack 3 / Cisco 8501 800G switches, based on Broadcom Tomahawk 5 and Cisco Silicon One G200, and manufactured by Celestica and Wistron, respectively.

Meta subsequently announced another OCP 800G platform, Minipack 3N, in October 2025. The design is based on Nvidia's Spectrum-X Ethernet switch IC and is positioned as a key building block for Meta's next-generation AI data center infrastructure. Meta has selected Accton as the manufacturing partner for this program. Our industry research suggests Minipack 3N began an initial ramp in 4Q25, with demand strengthening this year—supportive of Accton's switch revenue momentum.

Figure 34: Meta's 800G switch - Minipack 3N



Source: Meta. The Minipack3N, a 51.2 Tbps switch (designed by Meta and manufactured by Accton) based on the NVIDIA Spectrum-4 Ethernet switching ASIC.

Figure 35: Meta's 800G switch - Minipack 3



Source: Meta. Minipack3 (Broadcom Tomahawk 5 based, designed by Meta and manufactured by Celestica) 51.2T switch.

Potential content upside from CPO switch adoption at the ToR layer

Accton/Edgecore announced a scale-out CPO switch design based on Broadcom's Tomahawk 6 last year. We are seeing rising traction for CPO in AI networking as customers push for higher bandwidth density, lower latency, and better power efficiency. Nvidia is currently the market leader in CPO switching, but we expect Broadcom to narrow the gap as Tomahawk 6 CPO configurations ramp.

For switch ODMs such as Accton, CPO should translate into higher MVA per system given greater platform complexity and a higher likelihood of liquid cooling adoption. More importantly, CPO architectures integrate optical capabilities (optical engines) directly into the switch platform, versus traditional electrical switches that rely on pluggable optical transceivers. This shifts a meaningful amount of optical content into the switch itself—often a higher-value portion of the bill of materials than the base switch system—creating material ASP upside. CPO platforms typically incorporate optical engines, fiber alignment units, external laser sources, and associated fiber/cable/connectors.

Overall, we view rising CPO adoption as a positive for Accton, supported by its design execution track record, vertical integration capability, and, in our view, improving margin mix.

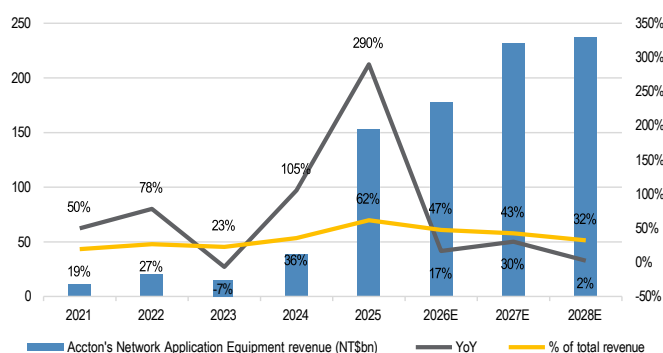
II. Sustained growth momentum of AWS ASIC business

We expect Accton's AWS ASIC-related revenue to continue growing over the next few years, as robust AWS AI demand and incremental content wins more than offset headwinds from (1) an m/s shift in the OAM/UBB business and (2) board design changes in the Trainium 3 generation.

We continue to see solid AWS AI ASIC demand, and view Trainium as a key enabler within Amazon's AI stack. We forecast a ~20% CAGR in Trainium ASIC shipments over 2026–28. In addition, our industry research suggests Accton has secured the scale-up switch tray assembly scope within the Trainium 3 program. We also see incremental content opportunities in Trainium 3 boards, including PCIe switches and potential cold plates.

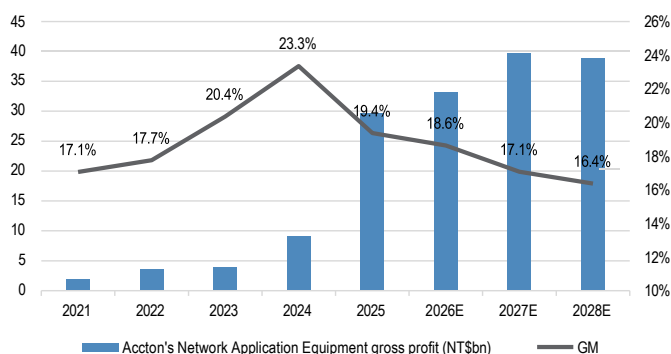
Overall, we forecast 17%/30% revenue growth for Accton's Network Application segment in 2026/27. A key downside risk is further delay to the Trn3 project.

Figure 36: Accton NAE revenue growth and contribution



Source: J.P. Morgan estimates, Company data.

Figure 37: Accton NAE gross profit and GM trend



Source: J.P. Morgan estimates, Company data.

Resumed AWS ASIC momentum in 2Q26; demand signals turning more constructive

Accton's Network Application Equipment (NAE) revenue is now ~10x larger than in 2017, and the segment's revenue exposure has expanded to ~62% in 2025 from 12% in 2017. We attribute this step-change primarily to strong AWS ASIC demand and Accton's leading position in the OAM/UBB ODM business.

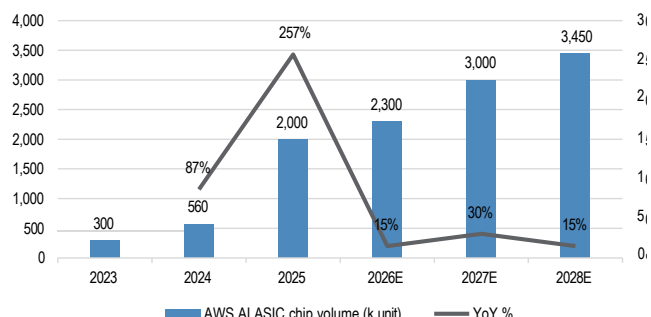
AWS ASIC-related revenue momentum has been muted over the past two quarters, largely reflecting project transitions. Looking ahead, we expect momentum to re-accelerate from late 2Q26 as AWS T3 ramp. Importantly, we have seen incremental improvement in recent demand indicators, which reinforces our view that AWS AI ASIC demand remains on an upward trajectory into 2026/27.

Table 11: AWS AI ASIC chip product roadmap

Chip name	Inferentia 1	Trainium 1	Inferentia 2	Trainium 2	Trainium 2 Ultra	Trainium 3	Trainium 4
Product launch	Late 2018	Late 2020	Late 2022	Late 2023	Late 2024	Late 2024	4Q26 (JPM)
MP schedule	2H19	2H21	2023	2H24	2H25	Late 2Q26	4Q27
Purpose	Inference	Training	Inference	Training/Inference	Training/Inference	Training/Inference	Training/Inference
Process node	16nm	N7	N7	N5	N5	N3	Compute - N2; I/O - N3

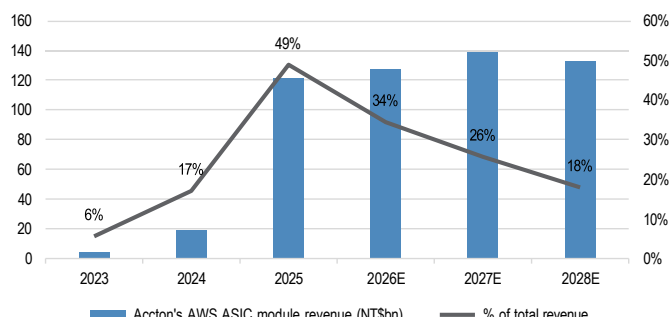
Source: J.P. Morgan estimates, Company data.

Figure 38: AWS AI ASIC chip volume estimates



Source: Company data, J.P. Morgan estimates. Note: Inferentia and Trainium combined volume.

Figure 39: Accton's AWS ASIC module revenue and contribution



Source: J.P. Morgan estimates, Company data.

In Amazon's recent annual shareholder letter, the CEO highlighted an ambition to scale the revenue run-rate of its in-house silicon portfolio (including Trainium, Graviton, and Nitro) to US\$50bn from ~US\$20bn, supported in part by monetizing external sales opportunities—similar to Google's approach with TPU. We view this as a constructive signal for the broader AWS AI ASIC supply chain, with Accton positioned as a potential beneficiary.

OpenAI announced an 8-year compute procurement deal to purchase ~2GW of Trainium capacity (including both T3 and T4 skus) through AWS infrastructure, to support its general and advanced workloads ([link](#)). Additionally, following the Project Rainier with ~1mn Trainium 2 procurement by the end of last year, Anthropic signed a new agreement with Amazon to secure up to 5GW of new compute, including a total of 1GW Trainium 2 and Trainium 3 capacity by the end of this year ([link](#)). The 10-year procurement plan also includes Graviton and Trainium 4 chips, and subsequent-generation chips.

Based on our sensitivity analysis below, each GW procurement deal for AWS's Trainium chips (T3 in our exercise) represents ~US\$2.1bn of incremental revenue TAM for Accton, comprising ~US\$1.4bn for chip modules and ~US\$700mn for switch trays. Assuming ~80%/~50% m/s for Accton in ASIC modules and NRL (NeuronLink) switch trays, respectively, we estimate ~US\$1.4bn of incremental revenue for Accton—equivalent to 18% of Accton's total revenue in 2025.

Table 12: Calculating incremental AWS ASIC related TAM for Accton on a GW basis

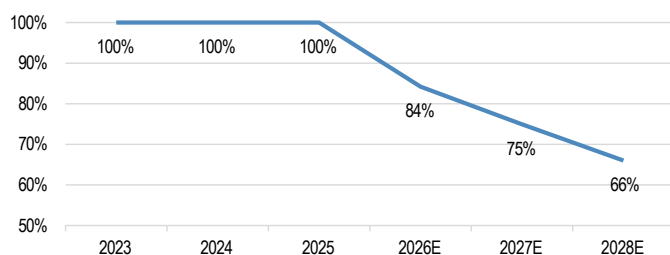
Incremental contribution from each GW-deal of Trainium cluster build for Accton	Note
Trn3 GW demand (GW)	1
Trn3 GW demand (MW)	1,000
PUE	1.2 JPMe
Total consumable power (MW)	833
Consumable server power (MW)	750 assume 10% power consumption for networking and other devices
Trn 3 system power consumption (kw)	35 JPMe
Incremental Trn 3 system demand from each GW deal (k)	21
Trainium 3 related TAM for Accton	
A. ASIC module (OAM/UBB)	
T3 chip density per rack	32
Incremental Trn 3 chip demand (k)	686
Trn 3 OAM+UBB ASP (US\$K)	2 JPMe, UBB content \$3.6k, OAM content \$500. Assume 20%/80% 4-/2-chip adoption
Incremental Trn 3 chip OAM/UBB revenue (US\$mn)	1,371
B. NRL switch tray	
NRL switch tray per rack	4
Incremental Trn 3 NRL switch demand (k)	86
Trn 3 switch tray ASP (US\$K)	8
Incremental Trn 3 NRL switch revenue TAM (US\$mn)	686
A+B. Incremental Trn 3 revenue TAM from each GW deal for Accton (US\$mn)	2,057
Procurement cycle assumption (year)	1
M/s assumptions	
OAM/UBB	80%
NRL switch tray	50%
Accton's incremental Trn3 revenue from each GW deal (US\$mn)	1,440
Accton's 2025 revenue (US\$mn)	7,964
Incremental % to Accton's 2025 revenue	18%

Source: J.P. Morgan estimates. Note: We use Trn3 assumptions to calculate the incremental AWS ASIC related TAM for Accton.

Potential m/s shift in Trn3; scale-up switch tray wins could largely offset the downside

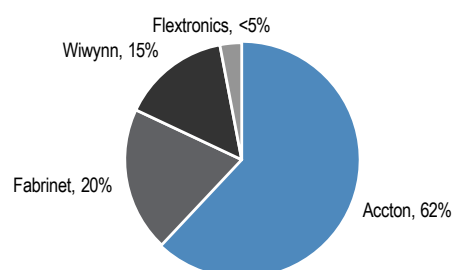
Our industry research suggests AWS is onboarding additional ODM suppliers (e.g., Fabrinet, Wiwynn, Flextronics) for Trn3 OAM/UBB programs, which could drive market share dilution versus prior generations. That said, we expect Accton to retain its leadership position, maintaining 60%+ m/s over the next 2-3 years. In our view, the incremental scope from the Trn3 scale-up switch tray program could offset much of the potential downside from any share shift in OAM/UBB.

Figure 40: Accton's m/s in AWS AI ASIC module



Source: Company data, J.P. Morgan estimates.

Figure 41: AWS AI ASIC module breakdown by vendors



Source: J.P. Morgan estimates.

While this may temper Accton's AWS ASIC growth momentum, our industry research suggests Accton has secured the ASIC switch tray scope in the Trn3 generation, which could largely offset the impact from any OAM/UBB m/s dilution. Each ASIC rack includes 4 switch trays, and we estimate ~US\$8k of content per tray for Accton. Assuming 50% m/s for Accton, this implies 3%/9% incremental revenue upside in 2026/27.

Table 13: Summary of AWS Trainium rack architecture

	Trainium 2	Trainium 3 NRL 32*2	Trainium 3 NRL 72*2
System codename	Teton2 PD * 2	Teton3 PDS	Teton3 MAX
Number of racks per universe	1	2	2
A. AI compute			
Number of compute trays per rack	16	16	18
Number of Trn chips per tray	2	2	4
Number of Trn chips per rack	32	32	72
Number of chips per universe	32	64	144
B. General Compute			
Number of CPUs per rack	2	2	8
Number of CPUs per universe	2	4	16
C. Scale-up fabric			
Number of switch trays per rack	NA	4	10
Number of switch tray per universe	NA	8	20

Source: J.P. Morgan estimates, Company data.

Lower board content per chip, partially offset by PCB material upgrades and potential new content gains

Trainium 3's liquid-cooled compute board architecture moves to four ASICs per board versus two ASICs per board in Trainium 2. While this mechanically lowers board content per ASIC, we estimate that liquid cooling adoption will remain limited at ~20% for the Trainium 3 generation this year.

We also see offsetting content upgrades in UBB boards, led by copper foil material migration (HVLP 2 to HVLP 4) and potential incremental content wins (e.g., PCIe switch). Overall, we estimate broadly stable OAM+UBB content per chip for Accton at ~US\$2,000 this year, but model a gradual decline in 2027/2028 as liquid cooling penetration increases.

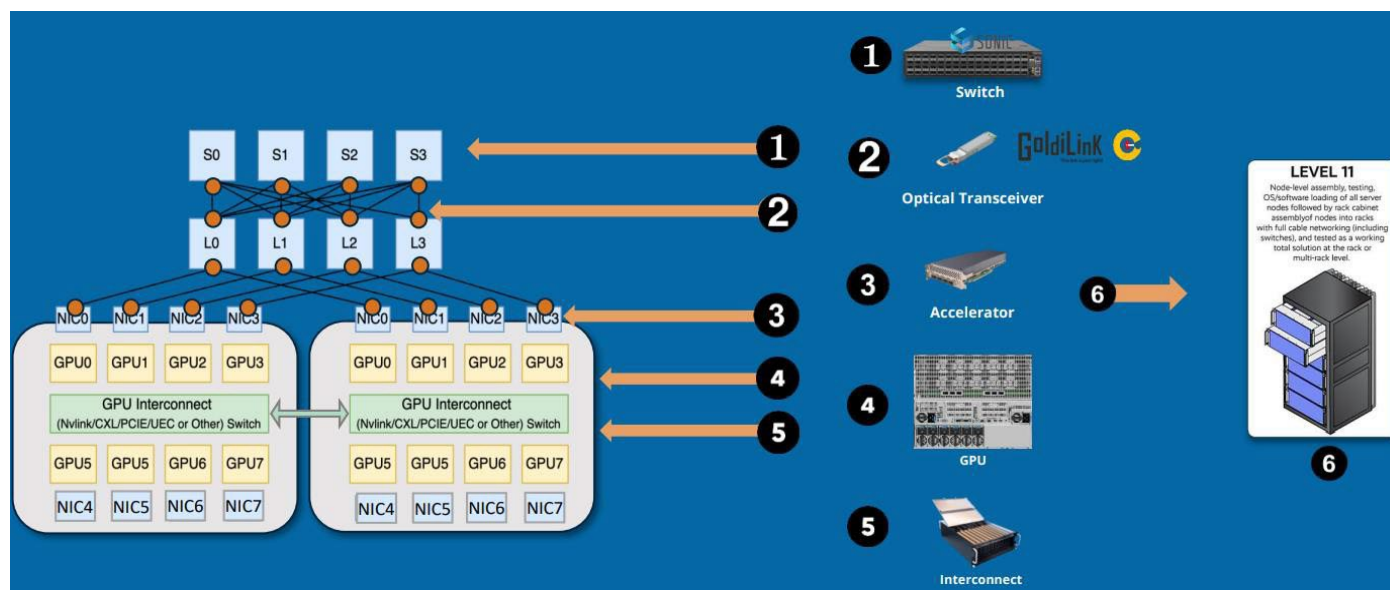
III. Growing TAM opportunity through vertical integration

Marching toward the server space

Accton is increasingly positioning itself as a rack-level AI infrastructure partner, aiming to offer an end-to-end solution spanning both switching and server domains. Its portfolio extends from switch systems, NICs, optical transceivers, and cables to accelerator modules—and ultimately server systems.

From a content perspective, networking typically represents less than 10% of CSP cloud capex, while server spend can account for ~50–60%, implying meaningful expansion runway if Accton can scale beyond switching into servers. Management expects an initial contribution from the server business in 2H26, starting with smaller-scale customers.

Figure 42: Accton's vision of vertical integration in datacenter networking and compute



Source: Accton's presentation.

Gauging the potential server revenue upside

Although Accton's server business remains nascent, we believe the company can leverage its track record in switch system design and manufacturing. In the section below, we frame the potential upside should Accton achieve a meaningful server-side breakthrough.

We expect Accton to begin with white-box, general-purpose servers for smaller-scale customers to build a track record and establish manufacturing credibility. Accordingly, we exclude high-end AI server platforms (e.g., NVL72, HGX, AI ASIC servers) from the TAM framework below.

Assuming a ~US\$12k ASP for general-purpose servers and that white-box U.S. CSP servers represent ~50% of total general-purpose server shipments, we estimate an addressable server revenue TAM of ~US\$74bn for Accton. Given these assumptions, each 1% market share gain in the U.S. CSP general-purpose server market could translate into ~9% upside to Accton's 2025 revenue. Importantly, there is additional upside if Accton can ultimately expand into the AI server market.

Table 14: Sensitivity analysis - Quantifying server opportunity for Accton

Sensitivity analysis of Accton's server revenue upside	
Global server shipments (k)	15,040
High-end L10 AI servers (k)	2,689
Generic L10 server volume (k)	12,351
Generic server ASP (US\$k)	12
Generic Server TAM (US\$mn)	148,210
% of US CSPs (whitebox)	50%
Server TAM for Accton (US\$mn)	74,105
Accton's m/s	1%
Accton's server revenue (US\$mn)	741
Accton's server revenue (NT\$mn)	22,973
Accton's 2025 revenue (NT\$mn)	248,320
Potential upside for Accton's revenue	9%

Source: J.P. Morgan estimates.

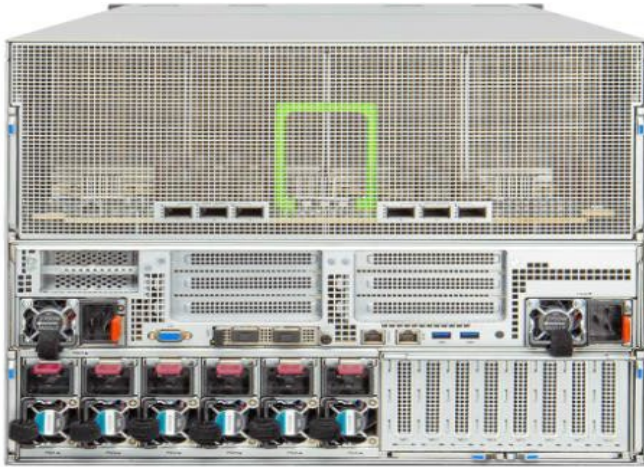
Promising opportunities in TAM expansion

Beyond servers, we see meaningful TAM expansion potential for Accton across both components and switch systems.

Component level: upside from optics and other critical rack-level components

Accton's wholly owned subsidiary, Edgecore, offers optical transceivers and cable products that customers can select alongside its switching solutions. Accton has also established Goldilink to develop 800G optical solutions to support next-generation high-speed data transmission. Beyond optics, Accton is positioning itself as a broader system integrator, with ambitions to supply other critical non-optical rack-level components, such as liquid cooling. For instance, Accton designs its own L2A/L2L liquid-cooling systems for its high-end datacenter switches.

Figure 43: Edgecore's AGS8200 Intel Gaudi 2 AI server



Source: Company data.

LCOS (Liquid Crystal on Silicon) technology is a high-resolution optical device that is used in Wavelength Selective Switches (WSS) and Reconfigurable Optical Add-drop Multiplexers (ROADMs), which steers specific light wavelengths by applying voltage patterns to liquid crystal cells and enabling dynamic, flexible bandwidth control without moving parts. Key advantages of LCOS switches over MEMS (Micro-Electro-Mechanical Systems) include scalability (high radix), low latency, and power efficiency.

Figure 44: Edgecore's optical transceivers and cables



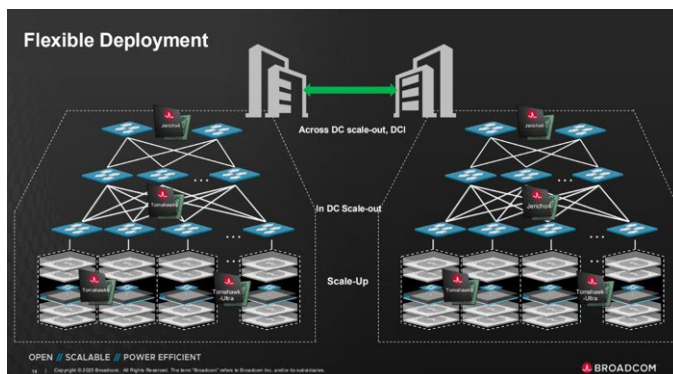
Source: Company data.

Networking switch system level: expansion into scale-up and scale-across switches

Today, Accton's networking business is primarily focused on scale-out switching (i.e., ToR switches). That said, the company has been engaging with a key U.S. CSP customer on a customized scale-up switch (switch tray) for ASIC training clusters, and we expect an initial revenue contribution beginning in 2H26.

Looking further ahead, Accton is also targeting scale-across/DCI switching, which enables interconnection between data center clusters. The company is focusing on LCoS-based WSS (Wavelength Selective Switch) and appears well positioned in this technology. Accton announced a US\$29mn investment in InLC Technology (private) for LCoS capability in November last year.

Figure 45: Illustration of scale-up, scale-out, and scale-across in datacenters



Source: Company data.

Figure 46: InLC's Wavelength Selective Switch Solutions

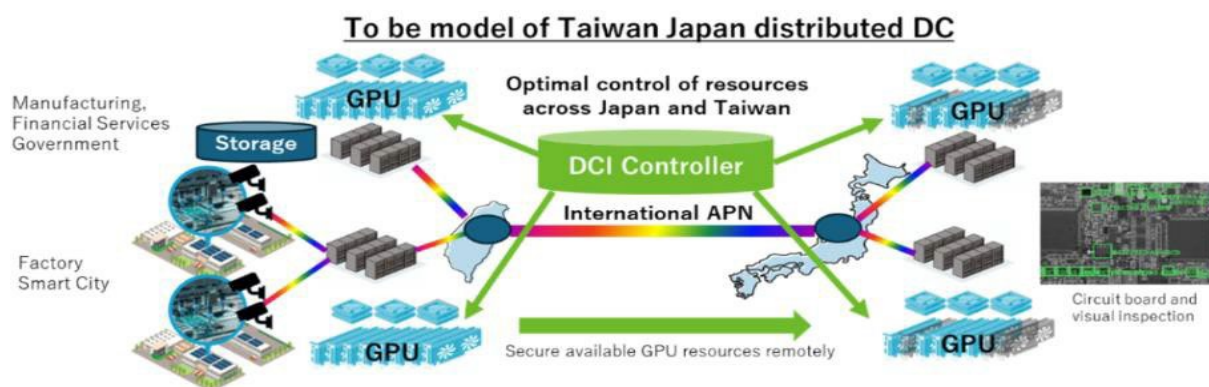


Source: Company data.

Accton/Edgecore has announced collaborations with Taiwanese and Japanese telcos (Chunghwa Telecom and NTT Inc., respectively) to develop distributed data centers by integrating photonic networks ([link](#)). Accton/Edgecore will contribute its DCI (data center interconnect) networking products, which we believe include its optical switch offerings. In addition, our industry research suggests Accton is also engaging U.S. hyperscalers on optical switching products.

Overall, we believe these emerging technologies and products have the potential to become new growth drivers for Accton, contributing a high-single-digit to low-double-digit of total revenue in the next 1-2 years.

Figure 47: Taiwan and Japan distributed DC



Source: Edgecore. Note: APN stands for All-Photonics Network.

Key downside risks

Potential m/s shift in Ethernet switch: competition with Nvidia

Our research indicates that customers have shifted to Ethernet-based switches from Infiniband switches over the past 3 years, leading to Infiniband adoption declining to below one-third of the AI datacenter switch market this year from a dominant solution (~80%) 3 years ago. We attribute this to a step-up in Ethernet switch configuration to capture the AI networking switch TAM. Nvidia also rolled out its first high-performance Ethernet switch product line - Spectrum switch (SN5000 series) in 2023, followed by subsequent line-ups (i.e. Spectrum-X Photonics, SN6000 series).

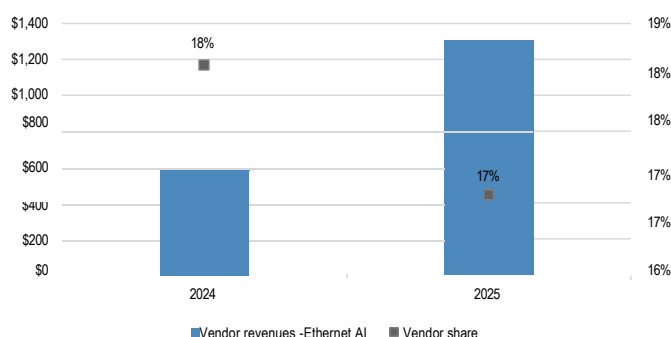
As Neoclouds typically lack in-house engineering resources, they tend to follow Nvidia's reference designs when building GPU server networking clusters. As a result, Nvidia has been gaining share in the data center Ethernet switch market over the past two years, supported by fast-growing neocloud AI demand. However, hyperscalers are used to adopting in-house networking architectures for AI clusters and outsourcing bare-metal Ethernet switches to white-box ODM vendors such as Celestica and Accton.

While we see CSPs (e.g., Meta) adopting Nvidia's Spectrum switch silicon in certain deployments versus Broadcom alternatives, CSPs still co-develop their in-house system designs with white-box switch ODM partners. We therefore expect bare-metal switches

to remain the dominant form factor in CSP data centers at the ToR layer, given their meaningful cost advantage. We also see potential opportunity for whitebox Ethernet scale-up AI datacenter switch adoption in CSPs' ASIC clusters, which could be an incremental market for Accton.

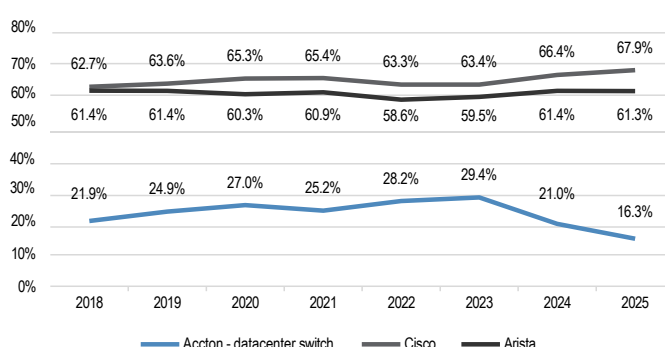
Notably, the industry economics also reinforce this structure: branded Ethernet switch vendors (e.g., Arista, Cisco, Juniper, Nvidia) typically generate 50%+ GMs, versus ~15–25% GMs for switch ODMs.

Figure 48: Nvidia's m/s in Ethernet AI datacenter switch



Source: 650 Group, J.P. Morgan.

Figure 49: Gross margin comparison - switch OEM vs. ODM



Source: J.P. Morgan estimates, Company data. Arista and Cisco data is based on JPM US Hardware team data. Cisco's data is based on a fiscal year basis. Note: 2025 margin dipped on tariff impact.

Faster-than-expected m/s shift in AWS ASIC module biz

As Amazon's ASIC module program scales, we are seeing new entrants increasingly penetrate the AWS AI ASIC module supply chain, including Flextronics, Wiwynn, and Fabrinet. Fabrinet has already begun T2 ASIC module production in 2H25, while our industry research suggests Wiwynn could enter via the T3 program (MP in 2H26). Flextronics also appears to be a credible potential entrant.

Despite this share dilution risk, we expect Accton to retain its leadership position and NPI role (60%+) given its long-standing partnership with Amazon. Moreover, we believe ongoing content expansion—driven by PCB/CCL material upgrades, higher layer counts, and rising liquid-cooling adoption—along with incremental project scope wins (e.g., NRL switch trays) can more than offset the headwind from a lower module share. Overall, we continue to expect Accton's NAE segment to deliver sustained revenue growth, with Amazon remaining the largest contributor.

Company Background

Company history

Founded in Taiwan Hsinchu Science Park in 1988, Accton started as an entry-level Ethernet card/hub ODM/OEM vendor and has become a world-leading networking and communication supplier for global top-tier customers. Accton stock was listed on the TWSE and has been trading since 15 Nov 1995.

In 2001, the company announced a merger with Hexiang Communication and entered the WLAN market. In 2003, Accton separated its Wireless Network Business Division to establish Arcadyan Tech Corp., a joint venture with Philips. Later, Accton purchased all the shares of the subsidiary from Philips and partially transferred them to Compal in 2006.

In 2007, Accton established a joint venture with Alvarion, the leading supplier of WiMAX in Israel, and acquired the 802.16e mobile WiMAX bid from the Industrial Technology Research Institute (ITRI), equipping itself to provide complete WiMAX and Wi-Fi integration solutions.

In 2010, Accton and LG-Nortel established a joint venture, Edgecore Networks, in the U.S., focusing on delivering branded wired and wireless networking products and solutions for data center, service provider, enterprise, and SMB customers worldwide.

Accton joined Meta's OCP (Open Compute Project) alliance in 2012 and has been acting as one of the key contributors to the organization. Accton already delivered a 10G ToR switch design to OCP in 2014 as the first certified networking equipment design. The company launched the Wedge-16X running on Facebook Operating System (FBOSS) in 2015.

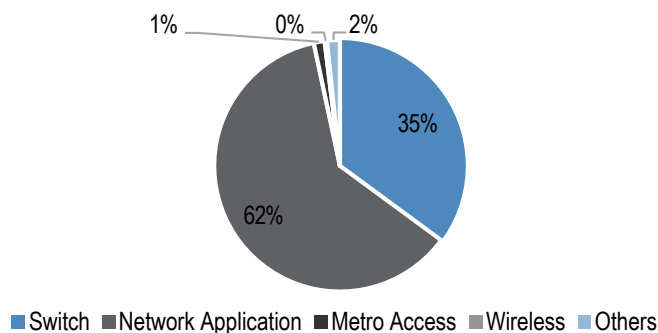
Business overview

In 2025, Accton derived 35% of its revenue from the Switch business and 62% from the Network Application segment. Other segments include Metro Access (1%), Wireless (0%), and Others (2%). Accton's products are mainly sold to the United States (81%), Europe (7%), Asia (4%), and Taiwan (7%).

- **Network Application segment** includes mainly AWS Networking interface cards, ASIC chip module assembly, and potential AWS's ASIC scale-up switch trays. Segment revenue grew 290% YoY in 2025 and became the largest business, driven by strong AWS ASIC demand.
- **Switch business** includes the datacenter and enterprise switch businesses, with the datacenter whitebox switch business comprising the majority (60%+). **Amazon** and **Meta** are key datacenter switch customers, while HPE, Juniper, and Huawei are key enterprise switch customers. We have seen accelerating revenue growth for the business in 2025 driven by high-end datacenter switch upgrades (400G/800G).
- **Metro Access business** is mainly carrier/telco related applications. Key products include edge switches and routers.
- **Wireless** products include fixed wireless access (FWA), CPE, and Wi-Fi access point equipment.

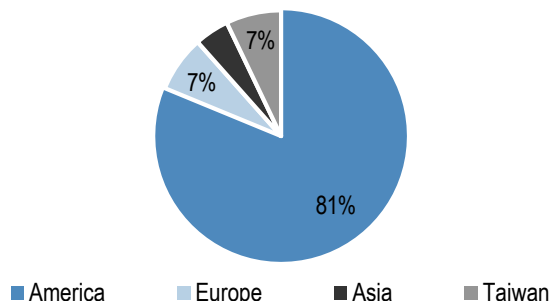
- **Others** business includes compute servers, edge servers, storage servers, and services.

Figure 50: Accton's revenue breakdown by segment, (2025)



Source: Company data, J.P. Morgan.

Figure 51: Accton's revenue breakdown by geography, (2025)



Source: Company data, J.P. Morgan.

Competitive analysis

Accton and Celestica are the two leading players in datacenter whitebox ToR switching, followed by Quanta and other smaller players. We attribute the higher consolidation in the datacenter whitebox switch market, relative to the server whitebox market, to the more complex switch configurations and thus higher requirements for design as well as software capabilities. We believe Accton's competitive edge has helped the company secure its leading position in whitebox datacenter switches for the past decade and will likely continue this trend in the future.

• Early mover in whitebox datacenter switching

Accton is a key contributor to Meta's OCP switch and launched the industry's first OCP-approved 10G/40G/100G switches. Accton also partnered with Meta to design and manufacture Wedge 40G/100G datacenter switches. While Celestica has become a key partner for Meta's Wedge 200G/400G and Minipack 3 (800G), Meta also announced the Minipack 3N during the 2025 OCP and assigned Accton as the manufacturing partner. We believe Accton's continued R&D investment could help it maintain its leading position in future cycles.

Table 15: Accton/Edgecore's open network switches

Edgecore's products	AS5712-54X	Wedge-16X	AS6700-32X	AS7700-32X	Wedge 100-32X
Speed spec	up to 10G	up to 40G	up to 40G	up to 100G	up to 100G
Form factor	1U	1U	1U	1U	1U
Port spec	48 SFP+	16 QSFP+	32 QSFP+	32 QSFP28	32 QSFP28
Silicons	Broadcom Trident II switch IC + Intel processor	Broadcom Trident II switch IC + Intel processor	Broadcom Trident II switch IC + Freescale/Intel processor	Broadcom Tomahawk + Freescale/Intel processor	Broadcom Trident II switch IC + Intel processor
Applications	ToR	ToR	ToR or spine deployment	ToR or spine deployment	ToR
Note	Approved by OCP in Oct 2014.	Based on Facebook's Wedge design	Contributing to OCP in 2015 OCP Summit	Contributing to OCP in 2015 OCP Summit	Based on Facebook's Wedge 100 design (announced in 2018)

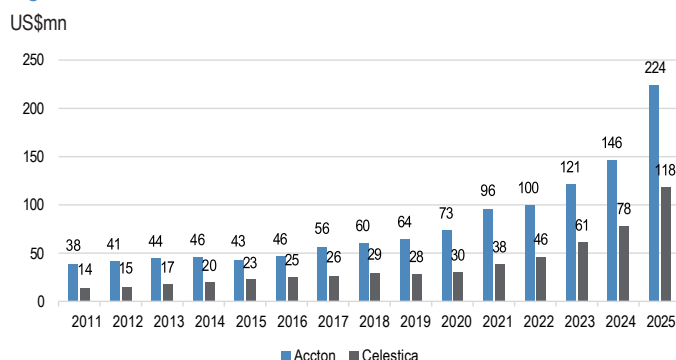
Source: Company data.

- **Accelerating R&D investment in advanced switch development**

Accton's R&D intensity peaked at ~6% in 2014 before its penetration into datacenter whitebox switching. While R&D spending continued to increase during 2015-2019, R&D intensity declined due to faster-growing revenues. We began to see accelerating growth in both R&D dollars and intensity from 2020 onward, driven by strong high-speed networking demand. We attribute this to the COVID-driven acceleration in digitalization trends and the rise of AIGC. Looking ahead, we anticipate growing R&D spending by Accton in the next few years, driven by the secular high-end switch upgrade cycle and likely increasing product offerings in AI datacenters.

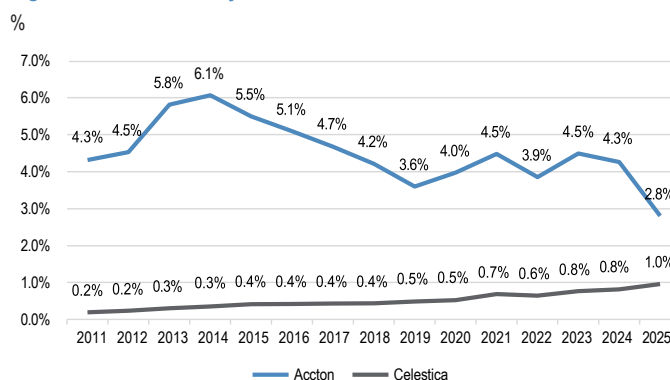
Compared to Celestica, Accton has much higher R&D spending amount and intensity. Accton's R&D intensity was 4.3-4.5% in 2023/24 and decreased to 2.8% in 2025 due to strong top-line growth momentum (+120% YoY), while Celestica's R&D intensity was 0.8%/1% in the past two years. Despite the narrowing gap of R&D intensity, Accton's R&D spending was ~US\$224mn in 2025, almost doubling that of Celestica.

Figure 52: R&D amount - Accton vs. Celestica



Source: Company reports.

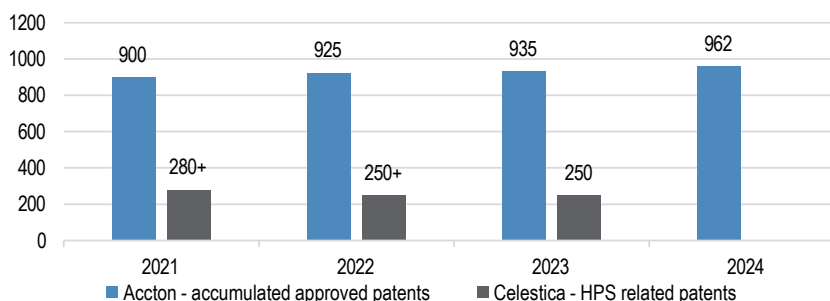
Figure 53: R&D intensity - Accton vs. Celestica



Source: Company reports. Note: R&D intensity = R&D / sales

In terms of the number of patents, Accton's accumulated approved patents increased from 900 in 2021 to 962 by the end of 2024. In contrast, Celestica's HPS-related patents were in a declining trend in 2021-2023 and declined to 250 by the end of 2023.

Figure 54: Patent counts - Accton vs. Celestica



Source: Company reports. Note: Celestica did not disclose the number of HPS-related patents in 2024.

- **Vertical integration with innovative solutions**

Accton is capable of providing total solutions by supplying networking subsystems and systems at both server-to-switch (e.g., networking adapters, AI chip modules) and switch-to-switch ends. The company is also able to supply AI server systems, optical transceivers, and cables (both DAC and AOC).

Accton is also developing innovative technologies in accelerated networking such as liquid-cooled switches, LPO (Linear-drive Pluggable Optics), and CXL (Compute Express Link) switches to help customers reduce power consumption, enhance overall AI system performance, and optimize total cost of ownership.

For example, Accton introduced the industry's first two-phase immersion-cooled 100G/400G switches in 2022 and shipped POC (proof of concept) samples to customers for qualification and co-development. Although the new technology is still in its nascent stages, we believe Accton will differentiate itself from peers with potential ASP/margin premium when the new technology matures.

- **Strong partnerships with upstream chip vendors and software developers**

Accton is a strategic partner with leading switch silicon vendors (e.g., Broadcom) as well as CPU vendors (e.g., Intel). Switch JDM partners such as Accton need to participate in the early development of a switch vendor's next-generation chip and work closely with chip vendors on the entire system design. For example, the increased power consumption and port count of next-generation switch chips may necessitate design changes in thermal management, power supply, optical components, and mechanical parts. Higher-speed transmissions also require PCB material upgrades and potential layout modifications.

In addition, Accton is committed to developing an open network architecture to provide customers with products that are highly flexible and offer better TCO. Network operating systems play a crucial role in both enterprise and datacenter networks by ensuring proper resource allocation (e.g., storage, memory, network bandwidth), security, troubleshooting, and scaling.

Open-source NOS has become increasingly important and widely adopted in datacenter switches due to its flexibility, cost-effectiveness, and scalability. Accton, as an early contributor to the OCP Summit, supports most of the key open NOS, including Open Network Linux (ONL), PicOS (developed by Pica8), SONiC (Software for Open Networking in the Cloud, developed by Microsoft), and Cumulus Linux (developed by Cumulus Networks), just to name a few. Accton's strong footprint in open network systems could help the company secure its leadership in the networking switch space, in our view.

Diversified Production Sites

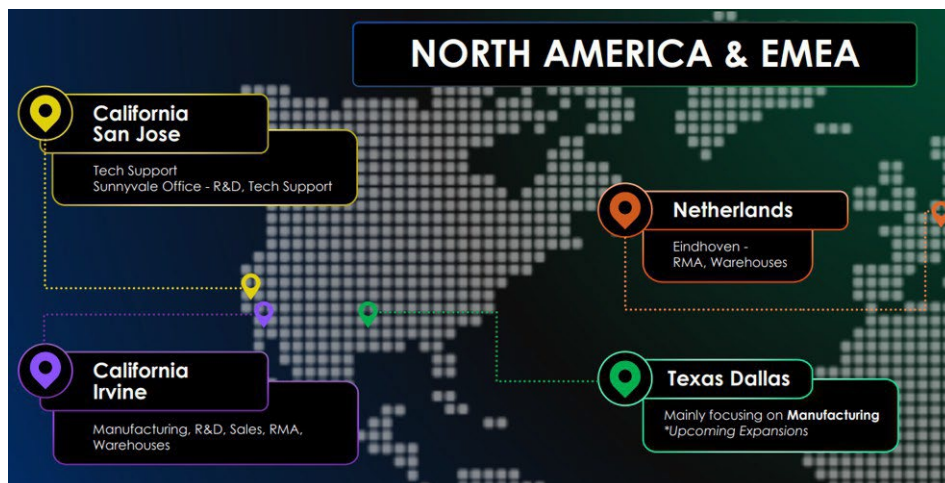
Accton has diversified production sites in Taiwan, Vietnam, the U.S., and China. Accton is also expanding capacity in Taiwan, Vietnam, the U.S., Singapore, and Malaysia to support strong customer demand. Additionally, Accton sees a talent shortage in Taiwan and is looking for new talent overseas to support future projects.

Figure 55: Accton's Asia production footprint and expansion plans



Source: Accton.

Figure 56: Accton's North America & EMEA production footprint and expansion plans



Source: Accton.

Shareholder structure & QFII holdings

Accton has a diversified shareholder structure, with a low % of shareholdings from the management team. Accton relies on professional management instead of a family-owned business and is highly responsible to institutional investors. In addition, no single investor exceeds 10% of the shareholdings.

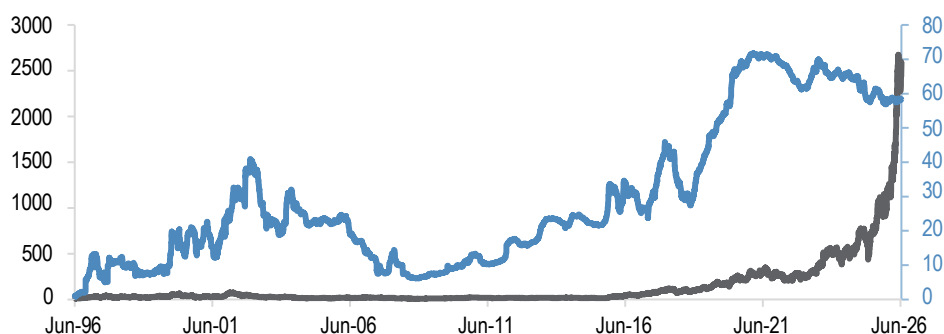
Table 16: Major shareholders of Accton stock

Major shareholders	% holding	Notes
Huang Kuo Hsiu / Golden Tengis Co., Ltd. / Kuan Xin Investment Co., Ltd.	9.21	Chairman
Pension Fund Investment Account	2.50	
Sunny Rise Investment	2.31	
Cathay Life Insurance Co., Ltd	1.73	
Morgan Stanley Investment Account	1.68	
Norges Bank Investment Account	1.67	
Fubon Life Insurance Co., Ltd.	1.50	
Vanguard Total International Stock Index Fund	1.27	
Singapore Government Fund Account	1.17	
Total	23.04	

Source: Company data, 2024 Annual Report. Note: The tenth largest shareholder, Kuan Xin Investment Co., Ltd. is controlled by the Chairman, Kuo Hsiu Huang.

Accton has a high QFII holding % at ~58% as of 23 Jun 2026.

Figure 57: QFII holdings trend



Source: TEJ, Bloomberg Finance L.P. Data as of 23 June 2026.

Management Profile

Most key management at Accton have engineering backgrounds. The composition of Accton's Board of Directors (BoD) is diversified, with independent directors occupying more than half of the seats and coming from various backgrounds (e.g., medical, accounting, engineering).

Table 17: Key management profiles

Name	Position	Education and Experience
Kuo-Hsiu Huang	Chairman	MBA, Peking University Director of Accton Technology Corporation Chairman of the Board of Accton Technology Co, Ltd / E-Direct Corp / MuXi Technology Co.,Ltd. Assistant Manager of Accton Technology
Wei Ch'iu Hsia (Legal representative of Kuan Xin Investment Corp.)	Vice Chairman	Shih Chien University, Bachelor Accton Assistant Manager / Production Management Accton Sr. Director / Supplier Chain Center Kuan Xin Investment Corp. Representative
Jackal Lee	CEO	Bachelor of Science in Industrial Management, Chung Hua University Senior Vice President, Accton's Product Production and Marketing Operations Center Chairman of Vietnam Accton Technology Company Limited
Fanny Chen	CFO	B.S. in Finance and Taxation, National Chengchi University Supervisor of Edgecore Networks Corp. and E-Direct Corp
Hsieh, Cheng- Che (Joseph Hsieh)	Vice President	Master of Engineering, Department of Electronic Engineering, Chung Yuan Christian University Senior Assistant to Vice President of Accton Technology Corporation.
Li, Hsun-Te (Jackal Lee)	Senior Vice President	Bachelor of Business Management, Chung Hua University Director of Vietnam Accton Technology Co.,Ltd
Chiang, Ying-Hui (Melody Chiang)	Senior Vice President	Bachelor of Information Management, Minghsin University of Science and Technology
Lee, Kuan-Ze (Michael K.T. Lee)	Senior Vice President of Research and Development	Master of Electrical Engineering, University of California, Irvine, USA Senior Director of Hardware Engineering of CommScope, Ruckus / Arris Director of Hardware Engineering of Brocade
Liew, Hin-Soon (Enco Liew)	Vice President	Electronic Engineering, National Taiwan University
Cheng, Ming- Chang (Ben Cheng)	Vice President	EMBA, College of Business, University of Texas at Arlington, USA Juniper Networks Inc, Manufacturing OPS manager Senior Assistant Vice President, Accton Technology Corporation

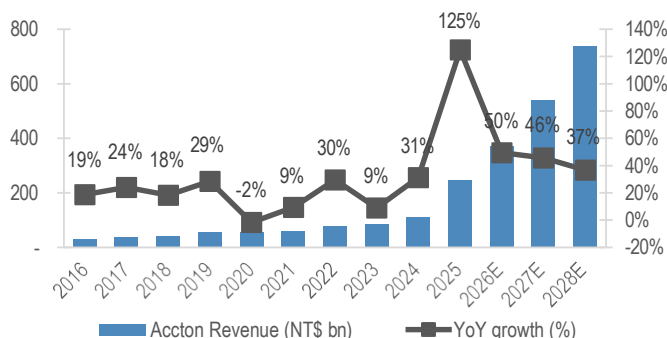
Source: Company data.

Financial Analysis

Income statement

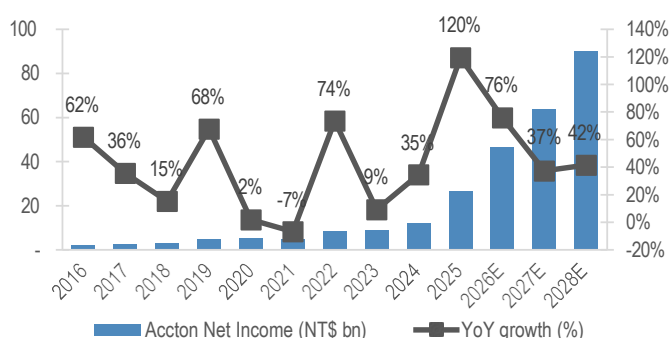
We forecast 50%/46%/37% revenue growth for Accton in 2026/27/28, mainly driven by continued datacenter switch upgrades (800G/1.6T), market share gains in the 800G switch project, and new content wins in the AWS ASIC project. We forecast a ~50% earnings CAGR for Accton through 2025-2028, driven by strong top-line sales growth.

Figure 58: Accton's revenue and YoY growth



Source: J.P. Morgan estimates, Company data.

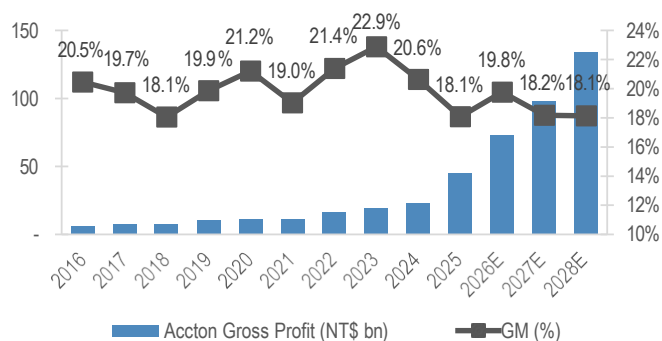
Figure 59: Accton's net income and YoY growth



Source: J.P. Morgan estimates, Company data.

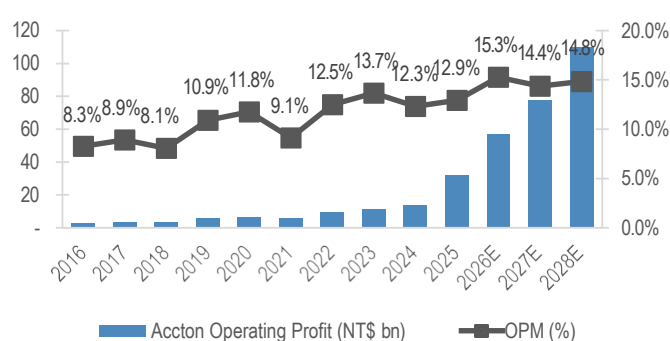
We expect an improved gross margin (GM) this year, mainly driven by better margins from the new 800G switch project, and anticipate gradual GM declines in 2027 and 2028, due to higher revenue contributions from lower-margin businesses such as ASIC scale-up switch trays and server systems. We expect the diversified switch customer portfolio and potential OCS switch contribution may help improve the product mix. We anticipate positive operating profit (OP) leverage to partially offset the GM decline, given the fast-growing top-line sales. Overall, we model 15.3%/14.4%/14.8% OPM in 2026/2027/2028 vs. 12.9% in 2025.

Figure 60: Accton's gross profit and GPM



Source: J.P. Morgan estimates, Company data.

Figure 61: Accton's operating profit and OPM

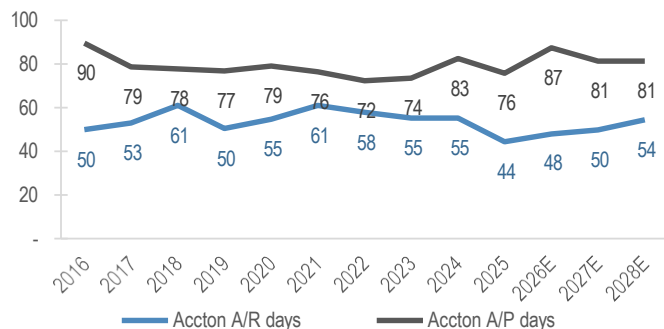


Source: J.P. Morgan estimates, Company data.

Balance sheet

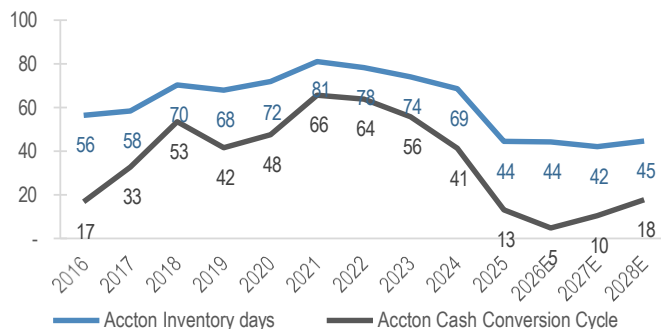
Accton's A/R and A/P days are likely to remain stable. We expect a healthy cash conversion cycle and stable cash flow.

Figure 62: Accton's A/R and A/P days



Source: J.P. Morgan estimates, Company data.

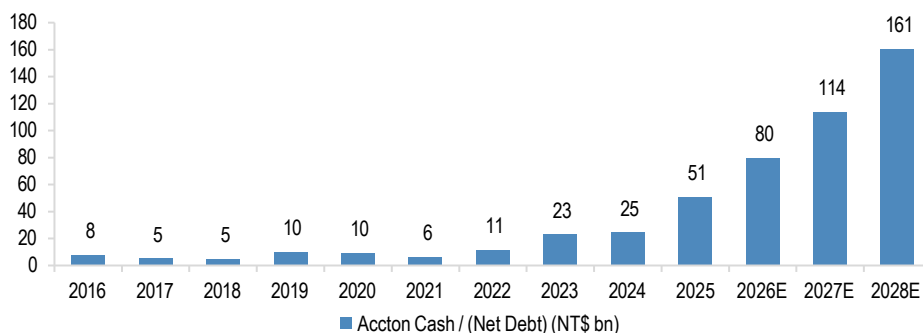
Figure 63: Accton's inventory days and cash conversion cycle



Source: J.P. Morgan estimates, Company data.

Accton has a robust balance sheet with a strong net cash position, thanks to the stable margin profile and low capital intensity of its businesses. We expect accelerated accumulation of cash balances in 2026-2028, driven by strong earnings momentum.

Figure 64: Accton's net cash / (net debt) per share

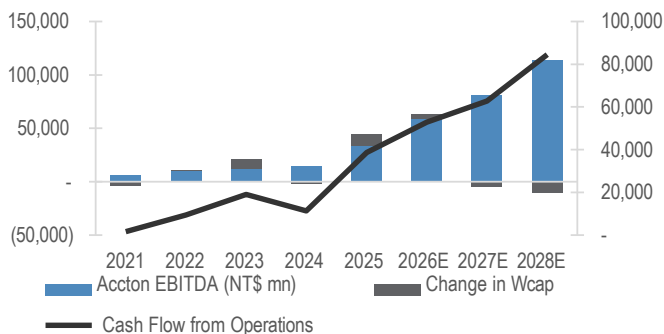


Source: J.P. Morgan estimates, Company data.

Cash Flow Analysis

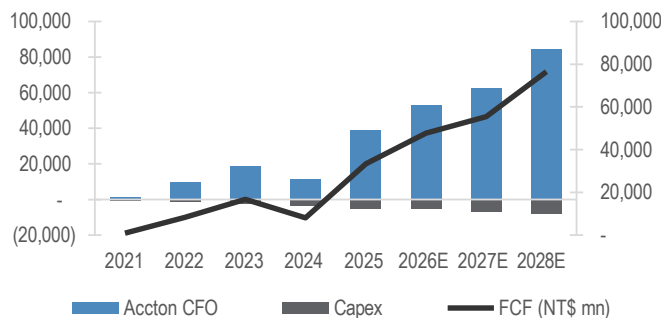
We anticipate a robust FCF trend for Accton in the next few years given its strong business outlook.

Figure 65: Accton's operating cash flow



Source: J.P. Morgan estimates, Company data.

Figure 66: Accton's free cash flow

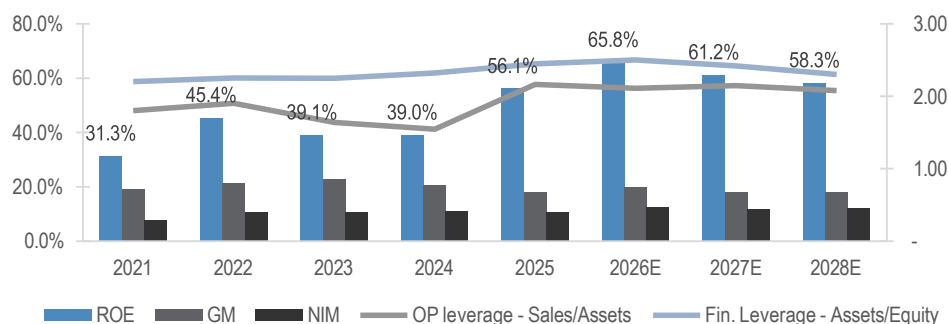


Source: J.P. Morgan estimates, Company data.

DuPont analysis

We expect Accton's ROE to plateau at 55%-65% levels vs. ~40% range in 2023/24, supported by improving OP leverage and accelerating earnings momentum.

Figure 67: Accton DuPont analysis

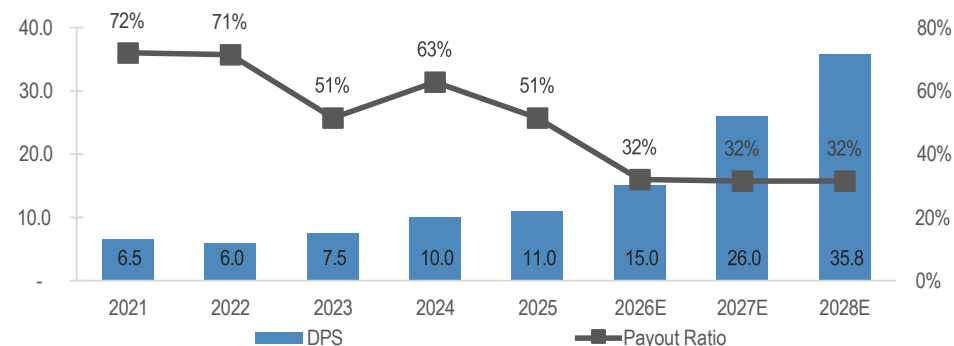


Source: J.P. Morgan estimates, Company data.

Dividend policy

While Accton's dividend payout ratio for 2025 earnings declined to 32% from 51% for 2024 earnings, the dividend per share still grew significantly to NT\$15 from NT\$11 the previous year. We expect a 32% dividend payout ratio for 2026/27 and forecast ~NT\$26/NT\$36 DPS for 2027/28, respectively.

Figure 68: Accton's dividend policy

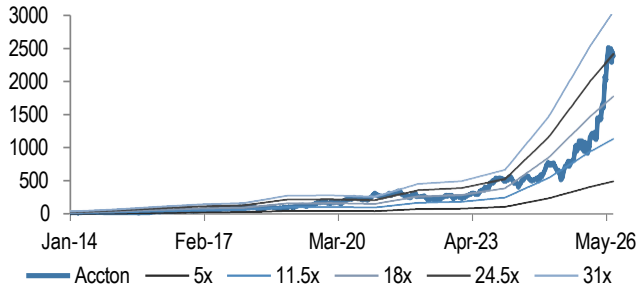


Source: J.P. Morgan estimates, Company data.

P/E and P/B bands

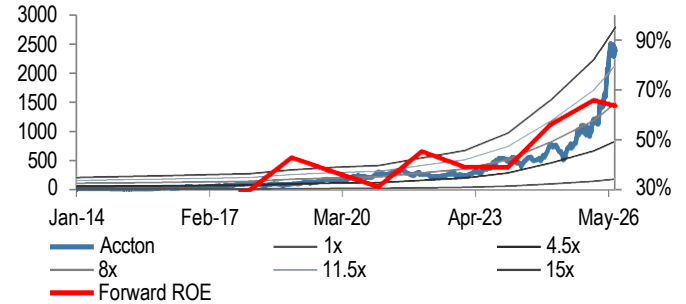
Accton stock traded at 20-30x in the previous upcycle. We expect the stock to trade at the higher end of up-cycle valuations over the next 6-12 months, given the accelerating earnings momentum, multi-year datacenter networking cycle, and potential scale-up-switch- and CPO-related opportunities.

Figure 69: Accton's 12M forward P/E chart



Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of 24 June 2026.

Figure 70: Accton's 12M forward P/B chart



Source: J.P. Morgan estimates, Bloomberg Finance L.P. data as of 24 June 2026.

Glossary

Switch (or Network Switch)

A switch is a networking hardware device used to connect servers within a datacenter or a fixed area. A switch serves as a controller, allowing networked devices to communicate with one another effectively, which can enhance overall information sharing and operational efficiency.

Figure 71: Network switch



Source: Company data.

*“Switches create a network. Routers connect networks. The two pieces of equipment look similar and perform some similar functions, but each has its own distinct function to perform on a network.”
by Cisco*

Router

While switches allow different devices on a network to communicate, routers allow different networks to communicate, forming an even larger network. A router can also connect networked devices to the Internet, allowing multiple users to share a connection. Technically, a router works as a dispatcher, directing data traffic and choosing the best route for information to travel across the network, so that it is transmitted as efficiently as possible.

Figure 72: Router



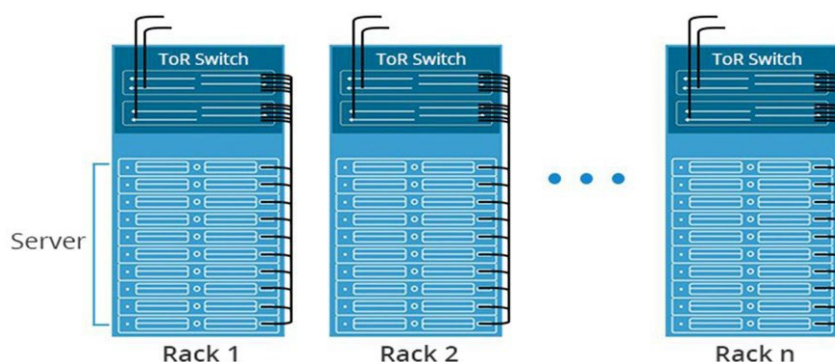
Source: Company data.

Top-of-Rack (ToR)

In Top-of-Rack (ToR) switching architecture, all the servers located within one rack are connected to an in-rack network switch (ToR switch), which is, in turn, connected to aggregation switches via fiber optic cables. Despite its name, the actual physical location of the ToR switch does not necessarily need to be at the top of the rack. However, the top-of-the-rack position is most common due to easier accessibility and cleaner cable management.

The key benefit of the ToR design is that all copper cabling for servers stays within the rack, allowing each rack to be deployed as an individual and modular unit within the data center. This allows the system to be upgraded to higher speeds in the future with minimal cost and leveraging the existing cabling. However, the ToR design might also require a greater number of switches and higher maintenance due to the distributed architecture.

Figure 73: Top of Rack (ToR) structure



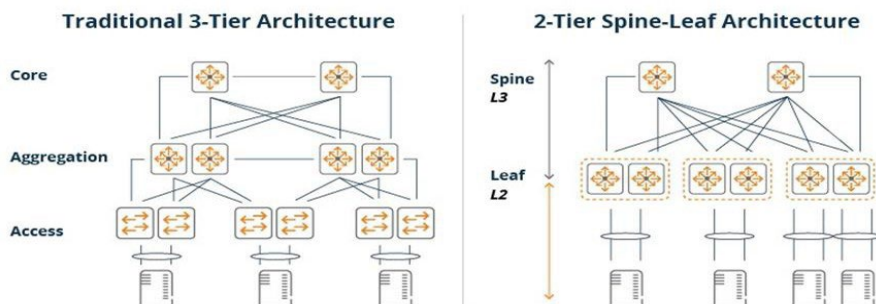
Source: FS.com.

An alternative design to ToR is End-of-Row (EoR) architecture, wherein each server in a rack is directly connected to a common aggregation switch. The EoR design requires fewer switches to manage and, in turn, fewer ports in the aggregation switch; however, it requires an expensive, bulky optical interconnect due to the longer distance.

Leaf-Spine structure

The leaf-spine architecture is a network topology that consists of two switching layers: leaf and spine. The leaf layer consists of ToR/EoR switches that aggregate traffic from servers and connect directly to the spine or network core. Spine switches are typically aggregation switches that interconnect all of the leaf switches in a full-mesh topology. The path is randomly chosen so that the traffic load is evenly distributed among the top-tier switches.

Figure 74: Traditional 3-tier Architecture vs. Spine-Leaf Architecture



Source: Aruba Networks.

The leaf-spine architecture provides low and predictable latency since traffic always has to cross the same number of switch devices to reach another server. This is critical as applications are increasingly deployed in a distributed fashion that relies more on East-West traffic.

Additionally, this design enables straightforward capacity expansion as an additional spine or leaf switch can be added and links can be extended to each spine or leaf switch without reconfiguration of the entire network.

JDM/ ODM business models

The traditional ODM business model does not require software support from customers. However, the JDM model features a closer partnership between customers (such as hyperscalers) and manufacturing partners (such as Accton), with customers involved in the product design flow. Typically, the JDM model has higher customer retention (closer collaboration with customers) and a better margin profile (due to higher software content) compared to the ODM model.

For instance, under a JDM model for switch products, hyperscalers first choose the semi-finished firmware from among 100+ versions of the datacenter OS available (based on the Linux architecture), and Accton's engineering team then completes the rest of the firmware work based on customer needs. Afterwards, Accton selects the suitable chipsets and hardware components for hyperscalers and finishes the product design and manufacturing for customers.

Silicon photonics

Silicon photonics (SiPh) involves the use of silicon semiconductors made of LD and PD using epi wafers as the medium for optical signals, allowing much faster digital signaling than traditional electron-based semiconductor devices. Recently, major U.S. internet companies such as Facebook and Google have been working to build optical data centers, where silicon photonics is expected to be deployed. According to Yole Research, the silicon photonics device market is expected to grow from less than US \$25mn in 2013 to more than US\$700mn in 2024 with a 38% CAGR, supported by increasing demand from the emerging optical data centers.

Table 18: Accton's Quarterly Financials

NT\$ millions, year-end Dec.	2025				2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	42,751	60,605	72,947	72,018	70,121	83,922	98,030	119,296	117,168	133,234	143,258	146,988	248,320	371,369	540,648	739,235
COGS	34,147	49,750	60,428	59,108	56,420	67,091	78,435	96,050	95,264	108,400	117,342	121,323	203,433	297,995	442,329	605,130
Gross profit	8,604	10,855	12,518	12,910	13,701	16,831	19,595	23,246	21,904	24,834	25,916	25,666	44,886	73,374	98,319	134,105
Operating expense	2,698	2,739	3,518	3,797	3,652	4,070	4,313	4,653	4,511	5,103	5,372	5,659	12,752	16,688	20,645	24,433
R&D expenses	1,447	1,466	1,952	2,105	1,996	2,308	2,500	2,744	2,578	2,931	3,152	3,381	6,970	9,547	12,041	14,299
Operating income	5,905	8,116	9,001	9,112	10,049	12,761	15,282	18,594	17,393	19,731	20,544	20,007	32,135	56,686	77,674	109,672
Pre-tax profit	6,282	6,613	9,708	10,314	10,362	13,153	15,678	19,046	18,048	20,228	21,228	20,675	32,917	58,239	80,179	113,321
Tax expense (credit)	1,160	1,596	1,888	1,966	2,029	3,174	3,049	3,631	3,533	4,882	4,129	3,941	6,611	11,883	16,486	23,146
Net profit (Reported)	5,127	5,032	7,827	8,356	8,341	9,979	12,628	15,415	14,515	15,346	17,099	16,734	26,342	46,363	63,694	90,175
New Taiwan GAAP EPS (NT\$)	9.1	9.0	13.9	14.9	14.9	17.8	22.5	27.5	25.9	27.3	30.5	29.8	46.9	82.6	113.5	160.7
Revenue Breakdown (%)																
Switch	45%	35%	27%	37%	48%	52%	50%	49%	48%	49%	55%	58%	35%	50%	53%	60%
Network Application	51%	63%	70%	58%	49%	46%	48%	49%	50%	48%	41%	35%	62%	48%	43%	32%
Metro Access Switch	3%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Wireless	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Others	1%	0%	1%	4%	2%	1%	1%	1%	1%	1%	1%	1%	2%	1%	1%	1%
Margins (%)																
Gross margin	20.1	17.9	17.2	17.9	19.5	20.1	20.0	19.5	18.7	18.6	18.1	17.5	18.1	19.8	18.2	18.1
Operating margin	13.8	13.4	12.3	12.7	14.3	15.2	15.6	15.6	14.8	14.8	14.3	13.6	12.9	15.3	14.4	14.8
Pre-tax margin	14.7	10.9	13.3	14.3	14.8	15.7	16.0	16.0	15.4	15.2	14.8	14.1	13.3	15.7	14.8	15.3
Net margin	12.0	8.3	10.7	11.6	11.9	11.9	12.9	12.9	12.4	11.5	11.9	11.4	10.6	12.5	11.8	12.2
Sequential Growth (%)																
Revenue	10	42	20	-1	-3	20	17	22	-2	14	8	3	125	50	46	37
Gross profit	7	26	15	3	6	23	16	19	-6	13	4	-1	97	63	34	36
Operating income	14	37	11	1	10	27	20	22	-6	13	4	-3	136	76	37	41
Net profit	13	-2	56	7	0	20	27	22	-6	6	11	-2	120	76	37	42
New Taiwan GAAP EPS	13	-2	56	7	0	20	27	22	-6	6	11	-2	119	76	37	42

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

Accton (*Overweight; Price Target: NT\$3,600.00*)

Investment Thesis

Accton stock trades around the high end of its historical valuation range, reflecting its strong earnings outlook, high ROE, and expanding TAM. We expect an accelerating earnings CAGR over 2025–28 for Accton, driven by rapid 800G/1.6T switch upgrades, share gains in Meta's ToR, and a resumption of AWS ASIC momentum. TAM expansion into server racks and optical adjacency offers further upside optionality. OW.

Valuation

Our Jun-27 PT of NT\$3,600 is based on 12M fwd EPS, at the higher end of historical up-cycle valuations, given the accelerating datacenter whitebox switch upgrade cycle, secular AI demand, and potential re-rating opportunity from the optical biz.

Risks to Rating and Price Target

Key downside risks include potential share loss in AWS AI ASIC modules, slower-than-expected 800G/1.6T adoption, and intensifying competition from Nvidia and OEMs in Ethernet switches.

Accton: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	110,425	248,320	371,369	540,648	739,235	Revenue	70,121	83,922	98,030	119,296	
COGS	(87,647)	(203,433)	(297,995)	(442,329)	(605,130)	COGS	(56,420)	(67,091)	(78,435)	(96,050)	
Gross profit	22,778	44,886	73,374	98,319	134,105	Gross profit	13,701	16,831	19,595	23,246	
SG&A	(4,474)	(5,782)	(7,141)	(8,604)	(10,134)	SG&A	(1,656)	(1,762)	(1,814)	(1,909)	
Adj. EBITDA	14,673	33,686	59,093	80,957	114,071	Adj. EBITDA	10,664	13,331	15,867	19,231	
D&A	(1,071)	(1,551)	(2,407)	(3,283)	(4,399)	D&A	(615)	(570)	(585)	(637)	
Adj. EBIT	13,601	32,135	56,686	77,674	109,672	Adj. EBIT	10,049	12,761	15,282	18,594	
Net Interest	782	987	1,092	1,871	2,816	Net Interest	223	285	274	309	
Adj. PBT	15,134	32,917	58,239	80,179	113,321	Adj. PBT	10,362	13,153	15,678	19,046	
Tax	(3,135)	(6,611)	(11,883)	(16,486)	(23,146)	Tax	(2,029)	(3,174)	(3,049)	(3,631)	
Minority Interest	1	36	8	0	0	Minority Interest	8	0	0	(	
Adj. Net Income	12,001	26,377	46,371	63,694	90,175	Adj. Net Income	8,341	9,979	12,628	15,415	
Reported EPS	21.41	46.95	82.63	113.51	160.71	Reported EPS	14.87	17.78	22.51	27.47	
Adj. EPS	21.41	47.01	82.64	113.51	160.71	Adj. EPS	14.87	17.78	22.51	27.47	
DPS	9.99	11.00	15.00	26.03	35.76						
Payout ratio	46.7%	23.4%	18.2%	22.9%	22.2%						
Shares outstanding	561	561	561	561	561	Shares outstanding	561	561	561	561	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	25,465	51,463	83,521	117,495	164,277	Gross margin	20.6%	18.1%	19.8%	18.2%	18.1%
Accounts receivable	21,714	38,653	58,831	88,596	131,706	EBITDA margin	13.3%	13.6%	15.9%	15.0%	15.4%
Inventories	19,371	30,202	42,104	59,830	88,058	EBIT margin	12.3%	12.9%	15.3%	14.4%	14.8%
Other current assets	4,089	749	1,193	1,680	2,185	Net profit margin	10.9%	10.6%	12.5%	11.8%	12.2%
Current assets	70,639	121,067	185,649	267,601	386,226						
PP&E	5,445	9,228	11,970	15,887	19,488	ROE	39.0%	56.2%	65.8%	61.2%	58.3%
LT investments	6,018	7,593	4,660	4,660	4,660	ROA	16.8%	23.0%	26.3%	25.3%	25.3%
Other non current assets	4,217	5,342	6,776	6,776	6,776	ROCE	34.1%	54.0%	62.2%	57.3%	55.1%
Total assets	86,320	143,231	209,055	294,924	417,150	SG&A/Sales	4.1%	2.3%	1.9%	1.6%	1.4%
						Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	476	492	1,126	1,126	1,126						
Payables	25,955	58,486	84,208	113,013	156,548	P/E (x)	110.9	50.5	28.7	20.9	14.8
Other short term liabilities	20,489	23,206	34,085	48,996	67,234	P/BV (x)	36.7	23.2	16.0	10.7	7.2
Current liabilities	46,920	82,184	119,419	163,135	224,909	EV/EBITDA (x)	89.1	38.1	21.2	15.1	10.3
Long-term debt	281	84	2,402	2,402	2,402	Dividend Yield	0.4%	0.5%	0.6%	1.1%	1.5%
Other long term liabilities	2,831	3,328	3,828	4,402	5,062						
Total liabilities	50,032	85,596	125,648	169,939	232,373	Sales/Assets (x)	1.5	2.2	2.1	2.1	2.1
Shareholders' equity	36,327	57,540	83,319	124,897	184,690	Interest cover (x)	NM	NM	NM	NM	NM
Minority interests	(38)	96	87	87	87	Operating leverage	58.6%	109.1%	154.2%	81.2%	112.2%
Total liabilities & equity	86,320	143,231	209,055	294,924	417,150						
BVPS	64.74	102.54	148.49	222.59	329.15	Revenue y/y Growth	31.2%	124.9%	49.6%	45.6%	36.7%
y/y Growth	44.0%	58.4%	44.8%	49.9%	47.9%	EBITDA y/y Growth	18.5%	129.6%	75.4%	37.0%	40.9%
Net debt/(cash)	(24,708)	(50,887)	(79,992)	(113,966)	(160,749)	Tax rate	20.7%	20.1%	20.4%	20.6%	20.4%
						Adj. Net Income y/y Growth	34.5%	119.8%	75.8%	37.4%	41.6%
Cash flow from operating activities	11,352	38,675	52,840	62,715	84,504	EPS y/y Growth	34.4%	119.6%	75.8%	37.4%	41.6%
o/w Depreciation & amortization	1,071	1,551	2,407	3,283	4,399	DPS y/y Growth	33.2%	10.1%	36.4%	73.5%	37.4%
o/w Changes in working capital	(1,718)	10,818	4,078	(4,262)	(10,070)						
Cash flow from investing activities	(10,168)	(8,034)	(3,650)	(7,200)	(8,000)						
o/w Capital expenditure	(3,335)	(5,334)	(5,150)	(7,200)	(8,000)						
as % of sales	3.0%	2.1%	1.4%	1.3%	1.1%						
Cash flow from financing activities	(52)	(4,643)	(17,133)	(21,541)	(29,722)						
o/w Dividends paid	(5,604)	(6,172)	(8,417)	(14,604)	(20,064)						
o/w Net debt issued/(repaid)	(215)	(181)	2,952	0	0						
Net change in cash	1,132	25,999	32,058	33,974	46,782						
Adj. Free cash flow to firm	8,017	33,341	47,691	55,515	76,504						
y/y Growth	(52.2%)	315.9%	43.0%	16.4%	37.8%						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Accton or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Accton or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Accton or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Accton or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Accton or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Accton or related entities, if any.
- **Gartner:** All statements in this report attributable to Gartner represent J.P. Morgan’s interpretation of data, research opinion or viewpoints published as part of a syndicated subscription service by Gartner, Inc., and have not been reviewed by Gartner. Each Gartner publication speaks as of its original publication date (and not as of the date of this presentation or report). The opinions expressed in Gartner publications are not representations of fact and are subject to change without notice.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan-covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock’s expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts’ coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst’s coverage universe can be found on J.P. Morgan’s Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Hung, Albert : ASPEED Technology Inc. (5274.TW), ASUSTek Computer (2357.TW), Compal Electronics, Inc. (2324.TW), Delta Electronics, Inc. (2308.TW), Inventec (2356.TW), Lenovo Group Limited (0992) (0992.HK), Lotes (3533.TW), Micro-Star International Co., Ltd. (2377.TW), Pegatron Corp (4938.TW), Quanta Computer Inc. (2382.TW), VNET Group (VNET), Wistron Corporation (3231.TW), Wiwynn Corp (6669.TW)

J.P. Morgan Equity Research Ratings Distribution, as of April 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	51%	37%	12%
IB clients**	83%	79%	74%
JPMS Equity Research Coverage*	49%	39%	13%
IB clients**	94%	93%	85%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is

available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or

relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a ‘Research Analyst’ having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to “wholesale clients” (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.**

According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase &

Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein (“Information”) is reproduced by permission of MSCI Inc., its affiliates and information providers (“MSCI”) ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised May 16, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party (“J.P. Morgan Data”) in any third-party artificial intelligence (“AI”) systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 25 Jun 2026 05:38 AM HKT

Disseminated 25 Jun 2026 06:20 AM HKT